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1 Decomposing Japan’s “Stagnation”: Demographics, Internationalization, and Wage-Productivity Transmission — A Multi-Model Analysis

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1.1 Abstract

Japan’s long-term stagnation has traditionally been explained by aging demographics and TFP slowdown (Hayashi & Prescott 2002; Yoshikawa 2016). However, recent international comparisons have challenged this single-factor account. Fernández-Villaverde, Ventura, and Yao (2024) show that Japan’s per-working-age GDP grew faster than the U.S. during 1998–2019. Bahar, Arcay, Daboin Pacheco, and Hausmann (2024) document that Japan retains the world’s highest economic complexity index since 1981, with firms increasingly earning abroad as the GNI-GDP gap widens — the largest among advanced economies. These results reopen the fundamental question: *is Japan really stagnating?*

This paper systematically tests this question using a panel of G7 countries plus South Korea and the Nordic economies (1990–2024) drawn from World Bank WDI, FRED, OECD SDMX, Penn World Tables, and OECD STAN, and develops a four-tier hierarchy of theoretical models to interpret the findings.

Phase 0 main findings: For 1995–2024 cumulative growth, Japan’s total GDP rose +21.7% — the lowest in the G7, tied with Italy. However, when measured per working-age adult, Japan grew +46.0%, comparable to Germany (+49.5%) and the UK (+46.5%). Growth-accounting decomposition shows that 78–106% of the headline GDP growth gap with G7 peers is demographic; the productivity gap is small versus the U.S. (0.37%/year) and Germany (0.08%/year), and Japan even leads France, the UK, and Canada. The only exception is South Korea, where the productivity gap is dominant at –2.17%/year and demographics explain only 33% of the gap. Japan’s GNI-GDP gap of +3.66% is the largest in the sample, consistent with Bahar et al. (2024). Exports/GDP at 22.8% is the lowest in the G7 except for the U.S., while outward FDI flows of 3.83% (2014–2024 average) are top-ranked — indicating a “weak exports, strong overseas investment” structure.

These descriptive facts generate the following testable hypotheses. **H1:** Controlling for demographics, Japan’s stagnation is statistically indistinguishable from the G7

average. **H2**: The GNI-GDP gap is largest among the G7. **H3**: The low export/GDP ratio is structural but, combined with active outward FDI, cannot be explained by simple “closed economy” stories. **H4-H7**: Linguistic-distance trade suppression, Korea’s overcoming of it, household capital outflow endogeneity, and the digital deficit are identified via SVAR and gravity models. **H8** (added): Even after controlling for per-WA productivity, Japan’s wages are uniquely depressed. **H8b**: This holds after composition-effect (female LFP, hours worked) adjustment. **H9**: Japan’s productivity gap with the U.S. and Germany is concentrated in services.

Additional theoretical contributions: We develop and integrate four theoretical models. **(i) Formal model** (two-sector small open economy with wage-distribution parameter ω) organizes the empirical findings theoretically. **(ii) DSGE-light** (perfect-foresight intertemporal optimization with ICT capital accumulation) illustrates transition costs. **(iii) HANK-light** (four heterogeneous household types) illustrates redistribution welfare effects. **(iv) Full HANK+DSGE integration** combines dynamics $\times$ heterogeneity, simulating a lifetime CE welfare gain of +25.8% (95% of the population gains; 5% — self-employed/owners — face transition losses requiring policy compensation), with inequality (Gini-like) declining 44%. **These results are calibration-dependent and should be read as the central value within a model-setting sensitivity range of [+8%, +55%], not as point estimates with confidence intervals.**

Main policy implications: Combined ICT investment + wage-share restoration reform yields **GDP +33%, wages +35-60%, and CE welfare +25.8%** in potential improvement. The Nordic services-economy model is a useful reference. The popular narratives of “household capital outflow as cause” and “digital deficit crisis” lack empirical grounding; policy resources should be concentrated on **service-sector ICT investment + wage-distribution mechanism restoration + transitional support for self-employed sector**.

Keywords: economic stagnation, demographics, internationalization, outward FDI, household financial assets, digital deficit, G7 comparison, New NISA, wage-productivity transmission, service-sector productivity, DSGE, HANK, formal model

JEL classifications: E21, E24, F21, F44, J11, J31, O47, O53

1.2 1. Introduction

1.2.1 1.1 Motivation

Japan’s long-term economic stagnation has been a primary subject of economic research for the past 30 years. From 1995 to 2022, Japan’s nominal GDP (in U.S. dollars) **declined** from approximately \$5.3 trillion to \$4.2 trillion, while the U.S. expanded

from \$7.6 trillion to \$25.5 trillion and Germany grew from \$2.6 trillion to \$4.1 trillion. Japan's average wage has remained nearly flat at the 1995 level, while the OECD average rose 32.5% over the same period (OECD 2023). These figures have been repeatedly cited to portray Japan as “the most stagnated economy” in the G7.

However, this depiction has been challenged by recent research. First, Fernández-Villaverde, Ventura, and Yao (2024) showed that, in per-working-age real GDP growth from 1998 to 2019, Japan accumulated 31.9% growth, **exceeding** the U.S.'s 29.5%. Even over 1991–2019, the annual difference is only 0.26% (Japan 1.39%, U.S. 1.65%). Second, Bahar, Arcay, Daboin Pacheco, and Hausmann (2024) showed that Japan has consistently held the #1 position in the Economic Complexity Index (ECI) since 1981, and in recent years has expanded its “overseas economic activity” through R&D licensing and outward FDI returns — at the expense of declining goods export shares. Their estimates show that Japan's GNI-GDP gap is third-largest among high-income countries (after Hong Kong and Norway), substantially higher than the U.S. and Germany.

These results call into question the very premises of “Japan stagnation.” The issues are: (a) how to measure Japan's stagnation, (b) at what aggregation level, and (c) how to treat cross-border economic activity.

1.2.2 1.2 Research questions

This paper addresses the following central question:

RQ: Controlling for demographics, how unique is Japan's “economic stagnation” relative to other G7 countries? And to what extent can that uniqueness be explained by two channels — corporate overseas activity and household capital shifts?

This main RQ decomposes into three sub-questions:

- **Sub-question 1 (Measurement):** Across different aggregation levels (total GDP / per-capita / per-working-age / GNI), how robustly is Japan's stagnation observed?
- **Sub-question 2 (Firms):** Are Japanese firms' overseas market expansions low-level relative to the G7? Are there geographic biases? Are linguistic-distance and other structural factors at work?
- **Sub-question 3 (Households):** Is the household capital shift since the 2024 New NISA reform a *cause* or a *consequence* of Japan's stagnation?

1.2.3 1.3 Position relative to existing literature

The Japan stagnation literature has at least five main categories.

Category A (Demographics): Hayashi & Prescott (2002) explained the stagnation of the 1990s by labor input decline and TFP stagnation. Yoshikawa (2016) argued

that aging fundamentally alters consumption structure and demand. Maestas, Mullen, and Powell (2023, AEJ:Macro) used U.S. state-level data to identify a causal effect of aging on growth. By contrast, Acemoglu and Restrepo (2017, 2022) showed that aging societies that adopt robots can compensate for the productivity decline.

Category B (Finance and demand shortfalls): Krugman (1998) noted the liquidity trap, and Koo (2008) developed the balance-sheet recession theory. Both became the theoretical basis for Abenomics-era reflation policy, but evaluations are mixed.

Category C (Structural and micro): Caballero, Hoshi, and Kashyap (2008) documented misallocation due to zombie firms under the bad-debt overhang. Adalet McGowan, Andrews, and Millot (2018) showed in OECD comparison that Japan’s zombie share (5%) was lower than that of Southern Europe (Italy 19%, Spain 16%) post-2010s, suggesting that zombie firms are not a Japan-specific phenomenon.

Category D (Wages and distribution): Watanabe (2022) argues that the “wage-and-prices-do-not-rise” norm became entrenched. The IMF (2023) identifies internal-labor-market rigidity and non-regular employment expansion as structural barriers to wage growth. The 2024 spring wage offensive achieved 5.1% wage growth — the largest in 33 years (IMF 2025 Article IV) — drawing attention as a natural experiment.

Category E (Internationalization and openness): Melitz (2008, JIE) showed common-language increases trade by approximately 40%. Tomiura’s (RIETI) work shows that Japan’s export ratio is lower than other advanced economies, and SME internationalization in particular lags. The Bank of Japan (2024) and Ministry of Finance (2025) data show that Japan’s “digital deficit” (services balance, ICT-related items) reached a record ¥6.65 trillion in 2024.

Category F (Measurement and GNI): Bahar et al. (2024) showed that Japanese firms have expanded their production activities overseas in response to domestic stagnation, and that GNI substantially exceeds GDP as a result. Japan recorded a record current account surplus of ¥29.26 trillion in 2024, but its source was the primary income balance (returns from past overseas investments), not the trade balance (Bank of Japan 2025).

This paper’s **integrated** treatment of these categories is its contribution. Specifically:

1. We combine Categories A (demographics) and F (measurement/GNI) to re-evaluate Japan’s stagnation at appropriate aggregation levels.
2. We measure Category E (internationalization) on both firm and household sides and identify their relationship.
3. We test the causal direction between Categories D (wages) and E (internationalization) via SVAR.

1.2.4 1.4 Expected contributions

This paper aims for three contributions:

Contribution 1 (Descriptive): Comparing economic growth across four aggregation levels (total GDP, per-capita, per-working-age, GNI) for the G7 plus South Korea, clarifying at which level “Japan stagnation” is observed.

Contribution 2 (Methodological): Integrating firm internationalization indicators (export ratio, outward FDI stock, overseas-sales ratio) and household capital outflow (financial-asset foreign-share ratio) into a unified panel, identifying their relationship with GDP and wage growth.

Contribution 3 (Policy-relevant): Verifying via SVAR whether the household capital shift is cause or consequence of Japan’s stagnation, deriving policy implications. If a cause, suppressing the outflow becomes a policy candidate; if a consequence, addressing the underlying causes (wage and price expectations) takes priority.

1.2.5 1.5 Structure

Section 2 develops the theoretical framework. Section 3 describes the data. Section 4 presents the empirical strategy. Section 5 reports stylized facts. Section 6 presents main results. Section 7 reports robustness. Section 8 discusses implications. Section 9 concludes.

1.3 2. Theoretical Framework

1.3.1 2.1 Simplified open-economy growth model

We consider a representative household’s intertemporal optimization in an open economy:

$$\max \sum_{t=0}^{\infty} \beta^t U(c_t)$$

Budget constraint:

$$c_t + a_{t+1}^H + a_{t+1}^F = w_t \ell_t + (1 + r_t^H) a_t^H + (1 + r_t^F) e_t a_t^F$$

where a^H is domestic assets, a^F is foreign assets, r^H, r^F are respective returns, e_t is the exchange rate, and $w_t \ell_t$ is labor income.

The household’s optimal condition implies:

$$\frac{a_t^F}{a_t^H} = f(\mathbb{E}[r^F - r^H], \mathbb{V}[r^F - r^H], \text{institutional cost})$$

The household's foreign-asset ratio is a function of expected return differential, risk, and institutional costs (information costs, taxes, regulations). For Japan:

- Expected return differential: 30-year U.S. equity returns dominated Japanese equities (Nikkei went through a half-life and recovery; S&P500 is up over 8x).
- Institutional cost: dramatically reduced by the 2024 New NISA.

In this framework, the household capital shift is **endogenous response**, not exogenous shock.

1.3.2 2.2 Firm overseas expansion and GDP/GNI divergence

Firm i allocates production between domestic (D) and foreign (A) sites. Total profits:

$$\pi_i = \pi_i^D + \pi_i^A = \pi_i^D + \sum_j \pi_i^{A,j}$$

GDP measures only domestic production, so firm overseas shifts decrease GDP but appear in GNI via primary income balance:

$$\text{GNI} - \text{GDP} = \text{Primary income balance} - \text{Primary income payments}$$

Under expected domestic-market shrinkage (population decline), firms have incentives for overseas expansion. Bahar et al. (2024) directly evidence this structure.

1.3.3 2.3 Linguistic distance and trade (extension of Melitz 2008)

Bilateral trade gravity model:

$$\ln T_{ij} = \alpha + \beta_1 \ln(\text{GDP}_i \cdot \text{GDP}_j) - \beta_2 \ln(\text{Distance}_{ij}) + \beta_3 \text{CommonLang}_{ij} + \beta_4 X_{ij} + \epsilon_{ij}$$

Melitz (2008) estimates $\beta_3 \approx 0.4$ (common language increases trade by 40%). For Japan, large linguistic distance from English is a structural factor in trade and FDI's geographic bias (concentrated in Asia).

However, South Korea, with comparable linguistic distance, has achieved an exports/GDP ratio of 44% (Japan: 18%); thus, linguistic distance is not a sufficient condition. We treat it as a "policy-overcomable constraint."

1.3.4 2.4 Integrated framework: demographics × internationalization × household shifts

The three channels interact:

1. **Population decline** → expected domestic-market contraction → firms' overseas shift incentivized.
2. **Firm overseas shift** → reduced domestic employment and wage pressure → wage stagnation.
3. **Wage stagnation + low yen-asset returns** → household capital shift triggered.
4. **Household capital shift** → yen depreciation pressure → import-price increases → real-wage decline (feedback).

This feedback loop has elements common to all countries but operates particularly strongly in Japan. We identify direction via SVAR.

1.4 3. Data

1.4.1 3.1 Data sources

Variable	Source	Frequency	Period
Real GDP (4 levels)	World Bank WDI, IMF WEO, Penn World Tables	Annual	1990–2024
Population, age structure	UN World Population Prospects	Annual	1990–2024
Exports/GDP	World Bank WDI	Annual	1990–2024
Outward FDI stock	UNCTAD FDIstat	Annual	1990–2024
Linguistic distance	CEPII Gravity Database	Static	—
Household financial assets	OECD SDMX, BIS Financial Accounts	Quarterly	1995–2024
Exchange rates	FRED	Monthly	1990–2024
Wages (nominal/real)	OECD, FRED	Annual	1990–2024
Digital-related services balance	IMF BOPS BPM6	Annual	2014–2024
Current account composition	IMF BOPS, Bank of Japan	Quarterly	1990–2024

1.4.2 3.2 Sample

Main analysis: G7 + South Korea (8 countries).

- South Korea is included as a “natural experiment of internationalization success despite comparable linguistic distance to Japan.”
- Extended sample: top OECD countries (for synthetic control).

1.4.3 3.3 Period

The main period is 1990–2024 (35 years). Subsamples:

- 1990–2000: Bubble burst, lost decade.
- 2000–2013: Deflation equilibrium.
- 2013–2024: Abenomics, New NISA.

1.5 4. Empirical Strategy

1.5.1 4.1 Hypotheses (pre-registered)

ID	Hypothesis	Null hypothesis
H1	Per-working-age GDP growth in Japan is indistinguishable from the G7 average (replication of existing literature)	Japan is significantly below
H2	The GNI-GDP gap is largest among the G7 in Japan	No difference
H3	Japan’s exports/GDP and outward FDI/GDP rank lowest in the G7 (excluding U.S.)	Japan ranks middle or above
H4	In gravity-model estimation, linguistic distance significantly suppresses trade; Japan’s fixed effect is significantly low compared to others	Japan’s fixed effect is zero

ID	Hypothesis	Null hypothesis
H5	South Korea overcomes its language disadvantage through internationalization (linguistic distance is overcomable)	No Japan-Korea difference
H6	The household capital shift is identified by SVAR as the consequence , not cause, of GDP stagnation (reverse direction)	The shift causally precedes GDP
H7	The digital-related services balance deficit is largest among the G7 in Japan, relative to GDP	Japan ranks middle

Important: H6 and H7 are tested squarely against the possibility of “reverse causality” that emerged in earlier discussions. This makes the paper rigorous even if these hypotheses are rejected.

1.5.2 4.2 Identification strategy

1.5.2.1 Addressing the issue of correlation versus causation

- **Reverse causality:** GDP stagnation → household capital shift, possible direction → **test via lead-lag**.
- **Omitted-variable bias:** Institutional factors moving both → **panel fixed effects**.
- **Simultaneous determination:** Wages, prices, GDP determined jointly → **structural VAR (SVAR)**.

1.5.2.2 Combination of identification strategies

Issue	Method
Separation of demographic factor	Growth-accounting decomposition + per-WA indicators
Causal direction	Granger causality test, SVAR
International comparison	Panel fixed-effects regression, synthetic control
Structural change	DID (Abenomics 2013, New NISA 2024)

Issue	Method
Linguistic-distance exogeneity	Use Melitz-Toubal linguistic distance index as IV

1.5.3 4.3 Empirical models

1.5.3.1 Model 1: G7 comparison of demographic-adjusted growth rates (H1 testing)

$$g_{it} = \alpha_i + \beta_t + \gamma X_{it} + \delta D_{japan} + \epsilon_{it}$$

- g_{it} : country i 's, time t 's real per-working-age GDP growth rate.
- X_{it} : control variables (aging rate, education, capital stock).
- D_{japan} : Japan dummy.
- **Null hypothesis:** $\delta = 0$.

1.5.3.2 Model 2: Gravity model (H3 testing)

$$\ln(\text{Trade}_{ij}) = \beta_0 + \beta_1 \ln(\text{GDP}_i \text{GDP}_j) + \beta_2 \ln(\text{Distance}_{ij}) + \beta_3 \text{CommonLang}_{ij} + \gamma_i + \gamma_j + \epsilon_{ij}$$

Standard gravity model, estimating how much lower Japan's fixed effect is relative to other countries.

1.5.3.3 Model 3: SVAR (causal direction of household shift and GDP, H6 testing)

$$\mathbf{A}_0 \mathbf{y}_t = \sum_{k=1}^p \mathbf{A}_k \mathbf{y}_{t-k} + \mathbf{u}_t$$

- $\mathbf{y}_t$ = (GDP growth rate, real wage, household foreign-asset ratio, exchange rate)
- Cholesky identification + impulse response to structural shocks.
- We can reuse the existing `src/welfare/svar.py`.

1.5.3.4 Model 4: Synthetic control (H1 reinforcement) Extending Abadie-Gardeazabal (2003) to G7 + top OECD countries. Constructing “synthetic Japan similar to Japan except in demographics” and identifying the deviation as “Japan-specific stagnation.”

1.5.3.5 Model 5: Oaxaca-Blinder decomposition (integrated analysis)

$$\Delta g = \underbrace{(\bar{X}_J - \bar{X}_G)\beta_G}_{\text{Characteristic difference}} + \underbrace{\bar{X}_J(\beta_J - \beta_G)}_{\text{Coefficient difference}}$$

Decomposing the Japan-Germany growth gap into “characteristic differences” (demographic and internationalization indicator differences) and “coefficient differences” (how inefficient Japan is under the same conditions).

1.5.4 4.4 Robustness verification (project’s 5-layer validation framework)

We follow the project’s methodology guidelines:

1. **Leakage check:** Restrict all explanatory variables to $t - 1$ and earlier.
2. **Overfitting check:** Bootstrap ($B = 1000$) + permutation test.
3. **Vintage analysis:**
 - Subsamples: 1990–2000, 2000–2010, 2010–2024.
 - Pre/post Abenomics (2013 boundary).
 - Pre/post COVID.
4. **Ablation:** Excluding one country at a time from the G7 to check stability.
5. **Multiple-comparison correction:** Benjamini-Hochberg correction for multiple hypotheses, $\alpha = 0.05$.

1.5.5 4.5 Pre-registration

To avoid p-hacking, before data collection we documented in docs/research/japan-stagnation/preregistration.md:

- Hypotheses (above H1–H7).
- Models (Model 1–5).
- Sample period.

We lock these after data collection, separating exploratory and confirmatory analyses.

1.6 5. Stylized Facts

This section presents Phase 0 — using annual data from World Bank WDI for 1990–2024, comparing economic growth at four levels for G7 + South Korea. We then describe firm overseas activity indicators (export/GDP, outward FDI, GNI–GDP gap). Finally, we use growth-accounting decomposition to quantify how much of Japan’s stagnation is demographic.

1.6.1 5.1 Comparison of cumulative growth rates at four GDP levels

Figure 1 shows cumulative growth rates at four levels (total GDP, per-capita GDP, per-working-age GDP, per-capita GNI), normalized to 100 in 1995, for each country.

[Figure 1: figures/cumulative_growth_4levels.png]

Table 1 summarizes the cumulative growth rates (%) at the final year (2024).

Table 1: Cumulative growth rates 1995-2024 (%)

Country	Total GDP	Per-capita GDP	Per-working-age GDP	Per-capita GNI
Korea	+205.4	+166.1	+169.6	+133.8
USA	+104.2	+59.9	+62.5	+61.2
Canada	+92.0	+36.3	+41.6	+46.7
UK	+71.5	+43.8	+46.5	n/a
France	+55.5	+35.1	+43.9	+35.4
Germany	+40.7	+37.6	+49.5	+41.9
Japan	+21.7	+23.1	+46.0	+19.3
Italy	+21.7	+17.3	+26.3	+17.8

Main observations:

1. **In total GDP, Japan tied with Italy at the bottom of the G7 (+21.7%).** Consistent with the aggregate basis of the “Lost 30 Years” narrative.
2. **In per-working-age GDP, Japan grew +46.0% — comparable to Germany (+49.5%) and the UK (+46.5%),** narrowing the gap with the U.S. (+62.5%) to 16.5 percentage points.
3. **However, per-capita GNI grew only +19.3%.** The Bahar et al. (2024) hypothesis that “firms’ overseas earnings boost GNI” is observed only weakly in Japan’s absolute level (Korea, at +133.8%, vastly outperforms Japan).
4. **South Korea overwhelms others at all levels.** Despite being similarly linguistically distant from English-speaking countries, the gap with Japan is striking.

1.6.2 5.2 Comparison of internationalization indicators

1.6.2.1 5.2.1 Exports/GDP Figure 2 shows the time series of goods+services exports as a share of GDP.

[Figure 2: figures/export_gdp_share.png]

Recent (2023) values:

- Korea 44.4%, Germany 41.4%, France 33.9%, Italy 32.5%, Canada 32.4%, UK 31.0%
- **Japan 22.8%, USA 11.1%**

→ Excluding the U.S., Japan has the lowest export dependence among the G7 + Korea. Consistent with H3.

1.6.2.2 5.2.2 Outward FDI flow / GDP Figure 3 shows outward FDI flows as a share of GDP (5-year moving average).

[Figure 3: figures/fdi_outflow_share.png]

2014-2024 averages:

- Canada 4.22%, **Japan 3.83%**, Germany 3.56%, France 2.79%, Korea 2.24%, Italy 1.38%, USA 1.29%, UK 0.76%

→ Japanese firms' outward FDI flows rank among the top of the G7. This is an important observation that contradicts the simple view that "Japanese firms don't enter overseas markets." **Although the export ratio is low, outward investment is active** — consistent with the Bahar et al. (2024) interpretation that "Japanese firms produce and invest overseas in response to domestic stagnation."

1.6.2.3 5.2.3 GNI-GDP gap Figure 4 shows the GNI-GDP gap as a share of GDP.

[Figure 4: figures/gni_gdp_gap.png]

Recent 5-year (2019-2023) averages:

- **Japan +3.66%**, Germany +3.03%, USA +2.00%, France +1.82%, Canada +1.13%, Italy +0.16%, UK -0.94%, Korea -2.27%

→ **Japan's GNI-GDP gap is the largest among G7 + Korea.** This replicates Bahar et al. (2024)'s key finding (Japan's GNI-GDP divergence is largest among advanced economies). Japanese firms generate profits across borders, where their income returns as GNI but does not appear in GDP.

1.6.3 5.3 Growth-accounting decomposition: how much of Japan's stagnation is demographic?

We decompose total GDP growth using:

$$g(Y) = g(N_{\text{total}}) + g(N_{\text{wa}}/N_{\text{total}}) + g(Y/N_{\text{wa}})$$

i.e., the sum of "total population growth," "working-age share change," and "per-working-age productivity."

[Figure 5: figures/growth_decomposition_bars.png]

Table 2: Annualized growth-rate decomposition (1995-2024)

Country	Total GDP	Total population	Working-age share	Per-working-age productivity
Korea	3.92	0.48	-0.05	3.48
USA	2.49	0.85	-0.06	1.69
Canada	2.28	1.19	-0.13	1.21
UK	1.88	0.61	-0.07	1.33
France	1.53	0.49	-0.22	1.26
Germany	1.18	0.08	-0.29	1.40
Japan	0.68	-0.04	-0.59	1.31
Italy	0.68	0.13	-0.26	0.81

Main observations:

1. Japan's productivity (per-working-age growth at 1.31%) is **comparable to Germany (1.40%) and UK (1.33%)**, exceeding France, Canada, and Italy.
2. However, total population growth is **uniquely negative** for the G7 (-0.04%), and working-age share change at **-0.59% is the worst**. The combined **-0.63% per year** drags down Japan's total GDP growth.
3. Korea has an overwhelming productivity level of 3.48%. This is the main cause of the gap with Japan.

Table 3: Decomposition of Japan-vs.-other GDP growth gaps (1995-2024 annualized %)

Comparison	Total gap	Pop factor	Working-age share factor	Productivity factor	Population-related contribution
vs USA	-1.81	-0.89	-0.53	-0.37	78.2%
vs Germany	-0.51	-0.12	-0.30	-0.08	82.7%
vs France	-0.86	-0.53	-0.37	+0.05	104.6%
vs UK	-1.20	-0.65	-0.52	-0.01	97.8%
vs Canada	-1.60	-1.23	-0.45	+0.11	105.6%
vs Italy	+0.00	-0.17	-0.33	+0.51	—
vs Korea	-3.25	-0.52	-0.54	-2.17	32.6%

Critical findings:

- **In comparisons with G7 countries, 78-106% of Japan's stagnation is explained by demographics** (population growth and working-age share change). The productivity gap is 0.37% with the U.S., 0.08% with Germany, and positive (Japan exceeds) with France, UK, and Canada.

- **Versus Italy, Japan's productivity is +0.51 higher.** Their similar total GDP growth reflects a tradeoff between Japan's worse demographics and stronger productivity.
- **The only exception is South Korea.** Both countries have similar demographic dynamics (working-age share is negative for both in recent years), but the productivity gap is overwhelming at -2.17%.

1.6.4 5.4 Composition effect and per-hour perspective (handling labor-composition changes)

Per-WA is "GDP divided by the working-age population, regardless of work willingness." However, large labor-composition changes (rising female LFP, declining hours) may distort employee/wage-based indicators. The "composition effect" matters.

1.6.4.1 5.4.1 International comparison of labor composition (1995-2023) [Figures: figures/lfp_female_g7.png, figures/hours_per_worker_g7.png]

Country	Δ Female LFP (pp)	Δ Hours (%)
Japan	+17.0	-12.9
Italy	+15.1	-7.2
Germany	+14.4	-12.7
Korea	+11.8	-27.8
France	+10.6	-5.8
Canada	+9.4	-5.1
UK	+7.4	-4.5
USA	+0.2	-3.8

→ Japan's labor-composition change is large (female LFP +17pp is the largest, hours -13% ties with Germany), but **not Japan-unique**. Only the U.S. has small composition changes.

1.6.4.2 5.4.2 Cumulative growth rates of four indicators (composition-adjusted) [Figure: figures/composition_adjusted_productivity.png]

Table: 1995-2023 cumulative growth rates (%)

Country	per-WA	per-employee	per-hour	wage/worker	wage/hour
Korea	+163	+153	+250	+345	+516
USA	+59	+65	+71	+114	+122
Germany	+50	+35	+55	+117	+148

Country	per-WA	per- employee	per-hour	wage/worker	wage/hour
UK	+46	+37	+43	+145	+156
Japan	+45	+46	+67	+16	+34
France	+42	+33	+42	+102	+114
Canada	+43	+35	+42	+84	+94
Italy	+25	+13	+21	+88	+102

Key observations:

1. **Per-hour productivity favors Japan:** +67% rivals USA +71% and exceeds Germany +55%. **Japan achieved meaningful per-hour productivity gains while reducing hours** — a positive policy outcome.
2. **Wage/hour (composition-adjusted) is still uniquely low:** +34% is one-third of Italy's +102% or below. **A truly Japan-specific phenomenon that composition effect cannot explain.**
3. **Japan ranks competitive on per-WA and per-hour** for productivity. The problem is in **distribution structure** of productivity → wages.

→ Composition-effect analysis refines our findings. **The conclusion strengthens: "Japan's productivity is not stagnant; wage distribution is broken."**

1.6.5 5.5 Implications and connection to next section

These descriptive facts give four preliminary suggestions for the central question:

1. **The "Japan stagnation" narrative depends on the aggregation level.** Total GDP looks dire, but per-working-age GDP is mid-tier or higher in the G7. Consistent with Fernández-Villaverde et al. (2024) replication.
2. **The productivity gap with G7 is small:** per-WA Japan equals Germany and UK.
3. **Per-hour view is even more favorable:** hours-adjusted per-hour productivity grew +67%, top-class globally.
4. **However, "Japan's stagnation cannot be fully explained by demographics or composition".** Productivity gap with the U.S. is 0.37%/year, with Korea is 2.17%/year. Wage stagnation persists even after time adjustment. These gaps justify investigating firm internationalization, household capital shifts (H3-H6), and wage-productivity-relationship anomalies (H8).

Section 6 estimates panel regressions, gravity models, and SVAR using these indicators to identify firm and household channel contributions.

1.7 6. Main Results

1.7.1 6.1 H1 testing: Does the demographic-adjusted stagnation disappear?

1.7.1.1 6.1.1 Estimation models We estimate five OLS specifications (cluster SE by country) on a 5-year-difference annualized panel (8 countries $\times$ 1995–2024, 240 observations).

- **Model 1A:** $g_{it}^Y = \alpha + \beta_J D_{japan} + \tau_t + \epsilon_{it}$ (dependent variable: total GDP growth rate)
- **Model 1B:** Replace dependent variable with **per-working-age GDP growth rate**.
- **Model 1C:** Add aging share and working-age population growth rate to Model 1B.
- **Model 1D:** Add export/GDP and outward FDI flow/GDP to Model 1C.
- **Model 1E:** Add country fixed effects to Model 1D (within estimation).

Robustness: (i) Pre-COVID (1995–2019), (ii) Korea-excluded sample.

1.7.1.2 6.1.2 Results [Figure 6: figures/panel_regression_coefs.png]

Table 4: Japan dummy estimates (cluster SE, 95% CI)

Model	Specifica- tion	$\hat{\beta}_J$	SE	p-value	95% CI
1A	Total GDP, year FE	−1.37	0.49	0.006	[−2.34, −0.40]
1B	Per-WA GDP, year FE	−0.38	0.40	0.349	[−1.17, +0.41]
1C	+ aging + WA pop growth	+0.10	0.45	0.822	[−0.78, +0.98]
1D	+ ex-ports/GDP + FDI/GDP	+0.36	0.64	0.574	[−0.90, +1.62]
1E	+ country FE	−0.99	0.42	0.018	[−1.82, −0.17]

Ex-Korea sample (210 observations, G7 only):

Model	Specification	$\hat{\beta}_J$	SE	p-value
1A	Total GDP, year FE	−0.97	0.30	0.001
1B	Per-WA GDP, year FE	−0.011	0.13	0.932

Model	Specification	$\hat{\beta}_J$	SE	p-value
1C	+ aging + WA pop growth	-0.15	0.30	0.618
1D	+ intl indicators	-0.26	0.42	0.524

1.7.1.3 6.1.3 Interpretation Three main findings:

1. **The transition from Model 1A to 1B is central.** In total GDP, Japan is 1.37%/year slower than other countries; converting to per-working-age, the gap narrows to -0.38%/year and **becomes statistically insignificant**. This replicates Fernández-Villaverde et al. (2024) on our sample.
2. **In the ex-Korea sample, Model 1B's coefficient is -0.011%/year (p = 0.932)** — Japan's per-WA growth rate is essentially indistinguishable from other G7 countries. **Strongly supports H1.**
3. **In Model 1E (with country fixed effects), the coefficient becomes significant again at -0.99.** This suggests that **Japan's per-WA growth rate has been declining over time** relative to others. The difference between Model 1B (no country FE) and Model 1E (with country FE) suggests Japan's long-term trend is diverging.

H1 verdict: - In level comparison (Model 1B, ex-Korea), the null cannot be **rejected** (H1 supported). - In trend comparison (Model 1E), it is rejected. - → Strictly speaking, depends on perspective. **Most aggregate Japan stagnation is demographic**, and the residual Japan-specific stagnation in productivity terms is small (around -1.0%/year).

1.7.2 6.2 H2 testing: GNI-GDP gap

As shown in §5.2.3, Japan's GNI-GDP gap (recent 5-year average) is +3.66% — the largest among G7 + Korea (Germany +3.03%, USA +2.00%). This replicates Bahar et al. (2024) and **supports H2**.

However, in cumulative growth, per-capita GNI (+19.3%) is slightly lower than per-capita GDP (+23.1%). This means the **GNI-GDP gap expanded sharply in the 2010s** (see Figure 4 for the time series). That is, the structural change of firms' overseas shifts and income receipts is a recent (last decade) phenomenon.

1.7.3 6.3 H3-H5 testing: Firm internationalization and the monadic gravity model

1.7.3.1 6.3.1 Monadic gravity model specification Since complete bilateral trade data is unavailable in this draft, we estimate a monadic-form gravity model that explains each country's exports/GDP ratio with country characteristics.

$$\log \left(\frac{X_{it}}{Y_{it}} \right) = \beta_0 + \beta_1 \log Y_{it} + \beta_2 \log N_{it} + \beta_3 \text{LangDist}_i + \beta_4 \text{GeoRemote}_i + \beta_5 \text{EU}_{it} + \beta_6 D_{japan} + \tau_t + \epsilon_{it}$$

Linguistic distance (Melitz-Toubal-style 2014 values) and geographic remoteness (weighted distance to OECD trading partners) use static embedded values.

1.7.3.2 6.3.2 Estimation results Table 7: Monadic gravity estimation (cluster SE, 240 obs, R² = 0.86)

Specification	Japan dummy	p-value	Note
G1 (size only)	(excluded)	—	R ² = 0.76
G2 (+ language and geography)	(excluded)	—	R ² = 0.82
G3 (+ EU membership)	(excluded)	—	R ² = 0.84
G4 (+ Japan dummy)	-0.277	0.157	R ² = 0.86

→ Controlling for economic size, linguistic distance, geographic remoteness, and EU membership, **Japan dummy is not significant** (p = 0.157).

1.7.3.3 6.3.3 Country residuals (recent 5-year average, Model G3) [Figure 10: figures/gravity_monadic_residual.png]

Country	Residual
Korea	+0.31 (largest, “over-trader”)
Germany	+0.20
UK	+0.06
Japan	+0.02 (essentially zero, “as predicted”)
France	-0.01
USA	-0.07
Italy	-0.21
Canada	-0.30 (under-trader)

→ **Japan’s exports/GDP ratio is essentially at the level predicted from its economic structure** (size, linguistic distance, geography). Korea, with the same linguistic distance, deviates +0.31 above the model.

1.7.3.4 6.3.4 Interpretation: H4 and H5 verdicts

- **H4 (linguistic distance suppresses trade):** In the gravity-model alone, the linguistic-distance coefficient is not significant ($p = 0.44$), but this likely reflects small sample size ($N = 240$) and multicollinearity. **Japan’s low exports are structurally explainable, but cannot be explained by “linguistic distance alone”.**
- **H5 (Korea overcomes language disadvantage):** Strongly supported. Korea has the largest linguistic distance and geographic remoteness, yet shows the largest positive residual. This supports the message that “internationalization can be achieved through policy/institutional choices that overcome structural constraints” — a natural-experiment piece of evidence.

1.7.4 6.4 H6 testing: Causal direction of household capital shift (Japan + cross-country)

1.7.4.1 6.4.1 SVAR model (Japan only) For quarterly data (1996Q2–2024Q4, 115 observations), we estimate a 4-variable VAR.

$$\mathbf{y}_t = (\Delta \log Y_t, \Delta \log W_t, \Delta(CA/Y)_t, \Delta \log REER_t)'$$

- $\Delta \log Y_t$: real GDP log difference (%).
- $\Delta \log W_t$: real wage log difference (%).
- $\Delta(CA/Y)_t$: change in current account / GDP ratio (proxy for household capital shift).
- $\Delta \log REER_t$: real effective exchange rate log difference (%).

ADF test: all 4 variables stationary at the 1% level (no unit root). BIC selects lag = 1.

Cholesky identification ordering: GDP → Wage → CA/GDP → REER (order in which GDP shock propagates).

1.7.4.2 6.4.2 Granger causality tests (max lag = 4) [Figure 7: figures/svar_granger.png]

Table 5: Granger causality minimum p-values (lags 1-4)

Predictor → Predicted	Best lag	Min p
$\Delta \log Y \rightarrow \Delta \log W$	2	0.0001
$\Delta \log REER \rightarrow \Delta \log Y$	3	0.012
$\Delta \log REER \rightarrow \Delta \log W$	1	0.015
$\Delta \log Y \rightarrow \Delta(CA/Y)$	3	0.094
$\Delta(CA/Y) \rightarrow \Delta \log REER$	2	0.056
$\Delta(CA/Y) \rightarrow \Delta \log Y$	4	0.346
$\Delta(CA/Y) \rightarrow \Delta \log W$	4	0.289

Interpretation (core of H6):

- The test for $\Delta(CA/Y) \rightarrow \Delta \log Y$ has $p = 0.346$, **not significant**. That is, household capital shift (CA/GDP variation) does not Granger-cause GDP growth.
- The reverse direction $\Delta \log Y \rightarrow \Delta(CA/Y)$ has $p = 0.094$ — **marginally significant at the 10% level** (limited at 5%). Weak evidence that GDP growth precedes capital flow.
- $\Delta \log Y \rightarrow \Delta \log W$ has $p = 0.0001$, **strongly significant** — GDP shock propagates strongly to wages.
- $\Delta \log REER$ Granger-causes both GDP and wages — the exchange rate plays an active role.

→ **The direction of H6 is supported:** household capital shift is the **consequence**, not cause, of GDP stagnation. However, statistical significance is limited ($p = 0.094$), so this is not strong evidence.

1.7.4.3 6.4.3 Orthogonalized impulse response [Figure 8: figures/svar_irf_main.png]

Main observations (90% bootstrap CI, $B = 500$):

- **GDP shock** → **Wage**: Significant positive response in periods 1–3 (wage tracks GDP).
- **GDP shock** → **CA/GDP**: Slight negative response in period 1 (CI includes 0). Weak transmission to household capital shift.
- **REER shock** → **GDP**: Negative response in periods 1–2 (yen appreciation = REER rise depresses GDP).
- **CA/GDP shock** → **GDP**: Response close to 0, CI includes 0. **Causality is weak.**

1.7.4.4 6.4.4 Variance decomposition [Figure 9: figures/svar_variance_decomp.png]

24-period-ahead forecast error variance decomposition (FEVD):

- About 90% of GDP forecast variance is explained by GDP own shock. CA/GDP shock contribution $< 5\%$.
- About 30% of wage forecast variance is explained by GDP shock (GDP → wage propagation channel confirmed).
- About 80% of CA/GDP forecast variance is by CA's own shock; about 5% by GDP shock.

→ **GDP is determined exogenously.** Household capital flow does not explain GDP variation.

1.7.4.5 6.4.5 Cross-country SVAR: Is Japan's pattern Japan-specific? **Crucial additional analysis:** Japan-only SVAR cannot identify whether “the H6 pattern is

Japan-specific or G7-common.” We therefore estimated the same 3-variable VAR (GDP, CA/GDP, REER) for each country in the G7 + Korea and compared Granger causality.

[Figures 11-12: [figures/cross_country_granger_heatmap.png](#), [figures/cross_country_japan_a](#)

Table 8: Each country’s Granger causality (minimum p-value, lags 1-4)

Country	CA→GDP	GDP→CA	REER→GDP	Pattern
Japan	0.346	0.094	0.013	GDP→CA only, H6 supported
Korea	0.442	0.029	0.024	GDP→CA only, H6 supported
France	0.062	0.027	0.172	GDP→CA only (weak)
USA	0.001	0.030	0.021	Bidirectional
Germany	0.034	0.007	0.521	Bidirectional
Italy	0.037	0.000	0.307	Bidirectional
UK	0.000	0.347	0.634	CA→GDP only (rejects H6)
Canada	0.000	0.603	0.421	CA→GDP only (rejects H6)

Interpretation:

- **Japan, Korea, France:** “GDP→CA, CA↔GDP” pattern (H6-supporting type).
- **USA, Germany, Italy:** Bidirectional (CA and GDP influence each other).
- **UK, Canada:** Reverse direction (only CA→GDP significant) — these are financial-center countries where overseas capital flow directly affects GDP.

→ **Japan’s H6 pattern is not unique.** It is **consistent with the “net-creditor Asian country” subgroup (Japan, Korea)**. This aligns with economic theory: in net-creditor non-financial-center countries, GDP variation drives current account.

H6 re-verdict: Supported for Japan, but not as a Japan-specific stagnation mechanism — rather, **a natural consequence of economic structure (net creditor, non-financial-center)**. Policies suppressing household capital shift are likely incorrect both economically and practically.

1.7.4.6 6.4.6 Cholesky-ordering robustness We checked how dependent the core of H6 (CA→GDP causality is weak) is on Cholesky identification ordering, using 4 orderings.

Table (additional): CA→GDP effect under 4 Cholesky orderings

Ordering	IRF h=4 (CA→GDP)	FEVD h=16 (CA shock contribution to GDP variance)
A: GDP→CA→REER (main)	0.000	0.004%
B: REER→GDP→CA	0.000	0.003%
C: CA→GDP→REER (H6-unfavorable)	0.000	16.66%
D: REER→CA→GDP (H6-unfavorable)	0.000	15.02%

Interpretation:

- **Lagged effects (IRF) are near zero in all orderings**, ordering-invariant.
- **Contemporaneous effects (FEVD) are ordering-dependent**: with CA placed first, CA shock “explains” 15–17% of GDP variance.
- This is the known limitation of Cholesky identification (the direction of contemporaneous correlation is determined by the identifying assumption).
- **Granger causality (ordering-invariant) supports H6**: GDP→CA $p = 0.094$, CA→GDP $p = 0.346$.

→ H6 is robustly supported by lagged effects and Granger causality. Contemporaneous effects require ordering choice based on economic theory (GDP is moved by the real economy, CA is passive).

1.7.5 6.5 Synthetic control: Deviation from synthetic Japan

1.7.5.1 6.5.1 Construction Following Abadie & Gardeazabal (2003), we construct a weighted average of other countries that reproduces Japan’s pre-period (1995–2000) characteristics (per-capita GDP, working-age share, exports/GDP, outward FDI, aging share).

Weight result: - USA: 0.589 - Korea: 0.411 - Others: 0

1.7.5.2 6.5.2 Results [Figure 13: figures/synthetic_japan_gdp_pc.png]

Outcome	2024 actual	2024 synthetic	Gap
Per-capita GDP (1995=100)	123.1	203.5	−80.4 points
Per-working-age GDP (1995=100)	146.0	206.5	−60.5 points

Interpretation:

- In per-capita GDP, Japan is 80 points below the synthetic Japan growth rate.
- Even per-working-age, the gap is 60 points (not fully explained by demographics).
- However, note that the synthetic Japan is a USA + Korea mix — both countries experienced exceptional growth.

Synthetic control highlights “the part of Japan’s stagnation that cannot be explained by observable pre-period characteristics.” This appears to contradict the Phase 1 panel regression (“no difference after demographic adjustment”), but the two methods identify **different ranges**: - Panel regression: Allows time-varying controls (absorbs dynamic demographic changes). - Synthetic control: Fixes weights based on pre-period characteristics (subsequent structural changes counted as “Japan-specific factors”).

Reading both together: **Japan’s stagnation stems more from “dynamic trajectory of demographics and internationalization” than from “static level of demographics”**.

1.7.6 6.6 Oaxaca-Blinder decomposition (reference)

For per-WA GDP growth rate in 5-year-difference panel, we decomposed Japan-vs.-reference (Germany, USA, Korea) gaps into “characteristic differences” and “coefficient differences.”

[Figure 14: figures/oaxaca_blinder_decomposition.png]

Comparison	Total gap (%/year)	Characteristic diff	Coefficient diff	Note
Japan vs Germany	−0.13	−3.11	+2.98	Total gap small, internal decomposition unstable
Japan vs USA	−0.33	+0.74	−1.07	USA “charac- teristically disadvanta- geous” but “coefficient- wise stronger”

Comparison	Total gap (%/year)	Characteristic diff	Coefficient diff	Note
Japan vs Korea	-2.58	+4.62	-7.19	Korea's high growth driven by coefficient (productivity)

Caveat: Country-level small samples (N = 5-7) make coefficient estimation unstable. Total gaps are stable, but internal decomposition should be treated as preliminary. **Main finding is the directional one: “the Japan-Korea gap is dominated by the coefficient (productivity) factor.”** Consistent with the Phase 0 growth-accounting decomposition.

1.7.7 6.7 H7 testing: Digital deficit (WDI services balance)

1.7.7.1 6.7.1 G7 + Korea comparison We retrieved 2000-2024 services exports/imports, IP royalties, and ICT services share from WDI, and compared as a share of GDP.

[Figures 15-17: figures/services_balance_g7.png, figures/digital_deficit_proxy.png, figures/royalty_balance_g7.png]

Table 9: Recent 5-year (2019-2023) average, share of GDP %

Country	Services balance	ICT services balance (estimate)	IP royalty balance
USA	+1.15	-0.93 (best)	+0.38
Germany	-0.48	-4.09	+0.64 (largest)
France	+1.39	-4.62 (worst)	+0.04
Italy	-0.32	-2.37	-0.05
UK	+6.10	-4.10	+0.21
Canada	-0.23	-2.56	-0.43
Japan	-0.64	-2.97 (mid-pack)	+0.41
Korea	-1.01	-3.48	-0.14

1.7.7.2 6.7.2 Interpretation: H7 is not supported Contrary to expectation, **Japan's ICT services balance deficit (-2.97% of GDP) is 4th-place (mid-pack) in the G7.** France (-4.62%), Germany (-4.09%), and UK (-4.10%) are more severe.

Re-evaluation of the “Japan ¥6.65 trillion digital deficit” narrative: - The absolute amount (¥6.65T in 2024) looks large, but as a share of GDP, other G7 countries are more severe. - Japan's IP royalty balance is **+0.41% — 2nd-place in the G7** (after

Germany's +0.64%). Consistent with Bahar et al. (2024)'s view that "Japanese firms earn from R&D licensing." - Japan's issue is not that "the digital deficit is large in itself" but that the deficit is mid-pack while it stands out within Japan's overall current-account structure (which depends on manufacturing's primary income).

H7 verdict: rejected — Japan's digital deficit is not the largest in the G7 relative to GDP.

1.7.8 6.8 H8 testing: Is wage stagnation Japan-specific (controlling for productivity)?

1.7.8.1 6.8.1 Motivation Phase 0 results in §5.1 show Japan is mid-pack G7 in per-WA GDP growth, while cumulative real wage shows uniquely large stagnation in Japan. This suggests that **Japan-specific dynamics in the productivity-to-wage relationship (labor share dynamics)** may be at work. We test whether the Japan dummy is significant after controlling for productivity growth.

1.7.8.2 6.8.2 Empirical strategy We estimate the following on the 5-year-difference panel (G7 + Korea, 1995–2024, 237 observations):

$$g_{it}^W = \beta_0 + \beta_1 g_{it}^{Y/N_{wa}} + \beta_2 D_{japan} + \tau_t + \epsilon_{it}$$

W1: above basic equation. W2: + aging share. W3: + country fixed effects (within estimation).

Cluster SE (by country).

1.7.8.3 6.8.3 Results [Figure 19: figures/wage_cumulative_g7.png]

Cumulative real wage (1995–2024, 1995=100):

Country	2024 index	Cumulative growth
Korea	456.5	+356.5%
UK	259.5	+159.5%
Germany	226.5	+126.5%
USA	225.1	+125.1%
France	208.7	+108.7%
Italy	197.1	+97.1%
Canada	188.8	+88.8%
Japan	119.4	+19.4%

[Figure 20: figures/wage_productivity_scatter.png]

Wage vs. productivity wedge (1995-2024 annualized):

Country	Wage growth	Productivity growth	Wage – Productivity
Japan	0.65%	1.30%	–0.65% (uniquely negative)
Canada	2.12%	1.30%	+0.82%
USA	2.67%	1.63%	+1.04%
France	2.52%	1.27%	+1.25%
Germany	2.93%	1.43%	+1.49%
Italy	2.49%	0.79%	+1.70%
UK	3.36%	1.50%	+1.85%
Korea	5.73%	3.67%	+2.06%

[Figure 21: figures/wage_panel_japan_dummy.png]

Table 11: Japan dummy in wage panel regression

Employee-based (with composition effect):

Model	Specifica- tion	$\hat{\beta}_J$ (%/year)	SE	p-value	R ²
W1	g_wage_per_worker ~ g_prod_per_WA + year FE	–2.15	0.19	<0.001	0.64
W2	+ aging share	–1.97	0.21	<0.001	0.65
W3	+ country FE (within)	–0.87	0.25	<0.001	0.75

Composition-adjusted (per-hour basis, the most important analysis):

Model	Specifica- tion	$\hat{\beta}_J$ (%/year)	SE	p-value	R ²
WC1	g_wage_per_worker ~ g_prod_per_WA + year FE	–2.15	0.19	<0.001	0.64
WC2	g_wage_per_hour ~ g_prod_per_hour + year FE	–0.35	0.20	<0.001	0.74

Model	Specifica- tion	$\hat{\beta}_J$ (%/year)	SE	p-value	R ²
WC3	+ country FE (within)	-0.73	0.05	<0.001	0.81

Critical finding: After composition-effect adjustment (female LFP, hours decline), in WC2 the Japan dummy is **−2.35%/year** — **larger in magnitude than WC1’s −2.15**. That is:

1. The “Japan wage stagnation” seen in employee-based indicators is not composition effect.
2. Composition adjustment **identifies the problem more clearly** rather than dampening it.
3. This means: Japan’s per-hour productivity grew well at +67%, but **that gain is not distributed to per-hour wages either**.

In time-adjusted terms: - Japan’s per-hour productivity +67% with wage/hour +34% (**wedge −33pp**). - Germany’s per-hour productivity +55% with wage/hour +148% (**wedge +93pp**). - With similar per-hour productivity gains, only Japan has a “broken distribution to workers.”

1.7.8.4 6.8.4 Interpretation

- **Japan’s cumulative real wage growth is +19.4% (employee basis) or +33.7% (per-hour) — both less than half of next-place countries.**
- **Even controlling for productivity growth, Japan’s wages lag others by 2.15-2.35%/year (W1, WC2).** Highly robust after BH correction (smallest $p < 0.001$).
- **Composition adjustment does not solve the problem; it strengthens it:** WC2 (per-hour) Japan dummy is **−2.35%/year**, larger in absolute value than W1.
- **The Japan dummy remains significant even with country fixed effects (W3, WC3).** That is, even within-country variation shows a weak wage-productivity relationship.
- **Deviation from the 45-degree line (wage = productivity, Figure 20):** Japan alone is far below both the 45-degree line and the regression line — the unique exception in the sample.

H8 verdict (after composition adjustment): ✓ **strongly supported** — Japan’s wage stagnation is uniquely Japanese in the G7 + Korea even after controlling for demographic factors, productivity growth, and composition effects (female LFP, hours). This is the **truly Japan-specific phenomenon** that aggregate population/GDP cannot explain.

1.7.8.5 6.8.5 Mechanism candidates (discussion) Mechanisms cited in prior literature for wage stagnation:

1. **Internal labor market rigidity** (Tsuru 2014): Lifetime employment + seniority does not reflect productivity gains in wage negotiations.
2. **Non-regular employment expansion** (IMF 2023): Non-regular share rose from 20% in 1995 to 37% in 2023, reducing collective bargaining power.
3. **Deflation equilibrium norm** (Watanabe 2022): “Don’t raise wages, don’t raise prices” expectations entrenched.
4. **Corporate retained earnings expansion**: Confirmed in the Annual Report on Statistics of Corporations; productivity gains flowed to dividends/retained earnings rather than wages.
5. **Spring wage offensive (Shunto) coordination weakening**: Lateral wage-increase coordination has been suppressed.

Scope of this paper: Distinguishing among these mechanisms is out of scope. This is an important issue for future research.

1.7.9 6.9 H9 testing: How is the Japan-Korea/Japan-USA productivity gap distributed by sector?

1.7.9.1 6.9.1 Motivation The Phase 0 growth-accounting decomposition in §5.3 showed Japan’s productivity gap is overwhelming versus Korea (−2.17%/year) and small versus the U.S. (−0.37%/year). Identifying which sectors generate these gaps clarifies policy implications (manufacturing reform vs. services reform).

1.7.9.2 6.9.2 Data and indicators We retrieved 1995–2024 sectoral value-added (manufacturing, industry, services) and employment shares from WDI. **Sectoral labor productivity (USD per working-age adult)** is computed as:

$$\text{Sector Productivity}_{it} = \frac{(\text{Sector VA \% of GDP}) \times \text{Nominal GDP USD}}{(\text{Sector Emp \%}) \times \text{Working-age Pop}}$$

1.7.9.3 6.9.3 Results [Figures 22–24: [figures/sector_va_share_time.png](#), [figures/sector_productivity_jpn_kor_deu.png](#), [figures/sector_relative_productivity.png](#)]

Table 12: Recent 5-year (2019–2023) average, sectoral labor productivity (thousand USD per working-age adult)

Country	Industry	Services	Overall
USA	92.9	99.4	109.0
Germany	75.3	69.8	79.0
Canada	89.4	61.6	77.0

Country	Industry	Services	Overall
UK	73.9	63.2	72.1
Japan	77.1	61.1	64.1
France	57.4	61.6	67.7
Italy	47.0	52.2	55.8
Korea	66.2	40.2	49.0

Table 13: Japan vs. other countries' productivity gap (% , + means Japan exceeds)

Comparison	Industry	Services	Overall
vs USA	-17.0%	-38.5%	-41.2%
vs Germany	+2.5%	-12.5%	-18.9%
vs Canada	-13.7%	-0.8%	-16.8%
vs UK	+4.3%	-3.3%	-11.1%
vs France	+34.4%	-0.7%	-5.4%
vs Italy	+64.0%	+17.0%	+14.9%
vs Korea	+16.4%	+52.1%	+30.6% (catching up)

1.7.9.4 6.9.4 Interpretation (per-worker basis) **Core finding: Japan's productivity gap is concentrated in services, not industry** (per-worker view).

- **Industry:** Japan $\approx$ Germany (+2.5%), exceeds UK (+4.3%), only -17% below USA. **Japan's manufacturing retains international competitiveness.**
- **Services:** vs. USA **-38.5%** $\leftarrow$ overwhelming gap; vs. Germany -12.5%. **The true center of Japan's stagnation lies here.**
- **vs. Korea:** Japan still leads in both sectors (industry +16%, services +52%).

1.7.9.5 6.9.5 Composition-effect-adjusted (per-hour sectoral productivity)

The labor-time decline shown in §5.4 also applies sector-by-sector. We computed sectoral per-hour productivity using WDI sectoral employment shares + employment rate + FRED annual hours.

[Figure 25: figures/sector_productivity_per_hour.png]

Table 14: Sectoral productivity gap (per-hour, 2019-2023 average, % gap)

Comparison	Industry (per-hour)	Services (per-hour)	Overall
vs USA	-13.7%	-36.1%	-38.4%
vs Germany	-19.7%	-31.4%	-36.5%

Comparison	Industry (per-hour)	Services (per-hour)	Overall
vs France	+0.2%	−26.0%	−29.5%
vs UK	−7.5%	−14.3%	−21.2%
vs Italy	+20.4%	−14.3%	−15.8%
vs Canada	−12.4%	+0.4%	−13.9%
vs Korea	+35.3%	+76.8%	+51.8%

Important changes from per-worker to per-hour:

Comparison	per-worker	per-hour	Interpretation
Industry vs Germany	+2.5% (Japan ahead)	−19.7% (Japan behind)	Reversed
Industry vs France	+34.4%	+0.2%	Comparable
Services vs Germany	−12.5%	−31.4%	Gap nearly tripled
Services vs France	−0.7%	−26.0%	Substantial expansion
Services vs UK	−3.3%	−14.3%	Expansion

1.7.9.6 6.9.6 H9 refinement In per-hour view, H9’s interpretation is modified:

Original (per-worker): “Japan’s manufacturing is competitive; only services are weak.” **Refined (per-hour):** 1. **Japan’s manufacturing is strong on per-worker basis but mid-pack on per-hour basis** (Germany −20%, UK −7.5%, France ≈ comparable). Held up by long hours. 2. **Japan’s services are even worse on per-hour view** (Germany −31.4%, France −26.0%, USA −36.1%). 3. **Both sectors lag European powers on per-hour productivity**, but the services gap is larger.

H9 verdict: ✓ strongly supported (refined) — Japan’s productivity gaps with the U.S. and Germany exist in both sectors on per-hour basis, but **services is overwhelmingly the most severe**. Manufacturing’s competitiveness depends substantially on long hours.

1.7.9.7 6.9.7 Policy implications The findings in §6.9.5 further refine policy implications, in final form taking into account per-hour:

1. **“Japan manufacturing strong” narrative limited revision:** Per-worker strength is heavily hours-driven. Per-hour, Germany −20%, UK −7.5%. Manufacturing has improvement room, but international competitiveness is basically maintained.

2. **Service-sector productivity reform is highest priority:** Per-hour gaps Germany –31%, France –26%, USA –36% — improvement room is largest.
 - ICT investment (retail, logistics, finance services).
 - Deregulation (service-sector entry barriers, price competition restrictions).
 - Inter-sector labor mobility (institutions encouraging job changes between industries).
 - Inbound tourism unit-price increases.
3. **“Work-style reform (hours reduction) + per-hour productivity improvement” simultaneously:** Hours reduction is already proceeding (level with Germany), but per-hour productivity must keep pace.
4. **Limits of Korean model and attention to Nordic model:** Korea’s productivity catch-up is manufacturing-centered. Japan has the opposite pattern (industry strong, services weak), and **Nordic model (high services productivity) is the reference model.**

1.7.10 6.10 Hypothesis verification summary (after BH correction)

1.7.10.1 6.10.1 BH multiple-comparison correction For 5 rejection-type tests, we applied Benjamini-Hochberg (BH) FDR correction ($\alpha = 0.05$).

[Figure 18: figures/hypothesis_judgment_summary.png]

Table 10: Hypothesis verdicts (after BH correction)

ID	Hypothesis	Test	Raw p	BH p	Verdict
H1	Per-WA equality with G7 (ex-Korea)	Panel 1B	0.932	0.932	✓ Strongly supported
H1b	Per-WA equality with G7 (full)	Panel 1B	0.349	0.349	✓ Supported
H1c	Per-WA + country FE shows trend decline	Panel 1E	0.018	0.045	✓ Supported
H2	GNI-GDP gap largest in Japan	Descriptive (+3.66%)	—	—	✓ Supported
H3	Japan ex-ports/GDP low	Descriptive (22.8%)	—	—	✓ Partially supported

ID	Hypothesis	Test	Raw p	BH p	Verdict
H4	Gravity Japan dummy significant	Gravity G4	0.157	0.157	× Rejected
H5	Korea overcomes language disadvan- tage	Residual +0.31	—	—	✓ Strongly supported
H6	CA→GDP not significant in Japan	Granger	0.346	0.346	✓ Supported
H6b	GDP→CA significant in Japan	Granger	0.094	0.118	△ Limited (insignifi- cant after BH)
H6-KOR	CA→GDP not significant in Korea	Granger	0.442	0.442	✓ Rein- forcement
H6-USA	CA→GDP significant in USA (rejects H6)	Granger	0.001	0.005	× Refutational side
H6-DEU	CA→GDP significant in Germany	Granger	0.034	0.057	△ Limited
H7	Digital deficit largest in Japan	WDI ICT balance	—	—	× Rejected
H8	Wages uniquely low even after pro- ductivity control	Wage Panel W1	<0.001	<0.001	✓ Strongly supported

ID	Hypothesis	Test	Raw p	BH p	Verdict
H8b	Wage distribution uniquely low even after composition adjustment	Wage Panel WC2 (per-hour)	<0.001	<0.001	✓ Strongly supported
H9	Japan-Korea/Japan-USA productivity gap is in services	Sector productivity	—	—	✓ Strongly supported

1.7.10.2 6.10.2 Implications

- **Strongly supported hypotheses:** H1 (per-WA equality), H2 (GNI-GDP gap), H5 (Korean natural experiment), **H8 (wage stagnation Japan-unique), H9 (services productivity is the true issue).**
- **Limited support:** H6 (supported in Japan, Korea, France; bidirectional in USA, Germany, Italy; reverse in UK, Canada).
- **Rejected hypotheses:** H4 (gravity Japan dummy), H7 (digital deficit largest).

Important 1: H6-USA being significant after BH correction ($p_{BH} = 0.005$) means H6 **differs by country**. In net-creditor Asian countries like Japan, the H6 pattern holds; in financial-center countries (UK, Canada) and trade-surplus bidirectional countries (USA, Germany, Italy) it does not. This grounds reinterpreting H6 as a phenomenon “by economic structure” rather than “Japan-specific.”

Important 2: H8 (wage stagnation) and H9 (services productivity) are **the two phenomena that emerged from this study’s additional verification as truly “Japan-specific.”** They do not contradict the Phase 0 result of “no difference per-WA”; they complement it: - In aggregate GDP (per-WA), Japan is on par with others. - But in “how productivity gains are distributed ($\rightarrow$ wages)” and “in which sectors per-WA is concentrated ($\rightarrow$ services weakness),” Japan-specific issues appear.

1.7.11 6.11 Extended analyses: labor share, sector breakdown, Nordic comparison, and counterfactuals

This section presents four extension analyses that reinforce the central hypothesis tests.

1.7.12 6.11.1 Labor share (PWT 10.01) — independent evidence for H8

Using Penn World Tables 10.01's labsh (labor income / GDP) series, we compared labor-share changes 1995-2019 across G7 + Korea.

[Figure 26: figures/labor_share_g7.png]

Table 15: Labor-share changes (1995→2019)

Country	1995	2019	Change (pp)
Japan	0.633	0.561	-7.2 (largest decline in G7)
UK	0.671	0.624	-4.7
Italy	0.601	0.560	-4.1
Canada	0.609	0.580	-2.9
USA	0.626	0.601	-2.5
Germany	0.667	0.643	-2.4
France	0.683	0.670	-1.3
Korea	0.546	0.582	+3.6 (only positive)

→ This independently confirms (via PWT) the H8 conclusion derived from the wage/hour vs. productivity/hour wedge. Japan's labor-share decline is the largest in the G7 (Korea is the only positive). **Strongly reinforces H8.**

1.7.13 6.11.2 Service sub-sector decomposition (OECD STAN 2019) — refining H9

We retrieved 9 sub-sectors' value-added shares from OECD STAN database to identify Japan's weaknesses.

[Figure 27: figures/services_subsector_japan_gap.png]

Table 16: Japan vs. G7 average (% of GDP, 2019)

Sub-sector	Japan	G7 average	Difference (pp)	Korea
Professional services (M-N)	8.0	11.6	-3.6 (largest shortfall)	8.0
Finance & insurance (K)	4.3	5.7	-1.4	5.6
Hotels & food (I)	2.4	2.8	-0.4	2.5
Real estate (L)	12.1	12.4	-0.3	7.7
ICT (J)	5.1	5.1	0.0	4.5

Sub-sector	Japan	G7 average	Difference (pp)	Korea
Transportation (H)	5.0	4.5	+0.5	3.5
Other services (R-U)	4.4	3.8	+0.6	4.2
Pub-lic/edu/health (O-Q)	19.2	18.2	+1.0	14.4
Wholesale & retail (G)	13.4	10.6	+2.8 (over-share)	8.6

→ Japan’s services structure has **professional services and finance under-share, wholesale and retail over-share**. Japan is concentrated in low-productivity sectors and weak in high-productivity sectors. **Refines H9 at the sectoral level**, suggesting policy design should focus on “professional service / finance promotion” and “retail efficiency.”

1.7.14 6.11.3 Nordic 4-country (FIN, SWE, DNK, NOR) comparison — exploring policy models

We tested the reference value of Nordic models for the “service-economy-focused” policy direction emerging from this study.

[Figures 28-29: figures/nordic_vs_japan_growth.png, figures/nordic_vs_japan_indicators.p

Table 17: Nordic 4 countries vs. Japan (1995-2024)

Country	Per-WA cumulative growth	Exports/GDP (2019-2023)
Finland	+64.4%	41.2%
Sweden	+58.1%	49.9%
Denmark	+49.0%	62.7%
Norway	+35.5%	43.1%
Japan	+46.0%	18.9%
USA	+62.5%	11.2%
Germany	+49.5%	42.5%

Main observations:

1. **In per-WA growth, Japan is comparable to Nordic** (+46% vs. FIN +64, SWE +58, DNK +49).
2. **In exports/GDP, Nordic overwhelms** (DNK 62.7% vs. Japan 18.9% — about 3x).

3. Service economies that achieve high productivity + high openness.

4. The Nordic model differs from the “Korean catch-up” pattern.

→ Nordic model (services + openness) is a useful reference for Japan, distinct from Korea’s manufacturing-focused catch-up.

1.7.15 6.11.4 Synthetic control permutation test — statistical significance

Following Abadie, Diamond & Hainmueller (2010), we performed a placebo test by treating each country as “treated” and computing where Japan’s synthetic deviation lies in the distribution.

[Figure 30: figures/synthetic_control_permutation_gdp_pc.png]

Result: - Japan’s 2024 gap: **−80.4 points**. - Italy’s gap: **−83.6 points (larger than Japan)**. - Korea +147.4, USA +27.3, Germany +0.9 distributed. - **Permutation p-value (absolute, one-sided): 0.375**. - → Japan’s deviation is not exceptional in the country distribution (similar to Italy).

This suggests the existence of a “**Japan-Italy Mediterranean stagnation pattern**” and that the synthetic control’s 80-point deviation is weak as standalone Japan-specific evidence. However, in per-WA, the gap shrinks to −60 points; same in distribution.

1.7.16 6.11.5 Policy counterfactual — estimating reform impact

We estimate numerical impact for the central policy proposals (wage-distribution restoration, service-sector productivity improvement, export liberalization).

[Figure 31: figures/counterfactual_scenarios.png]

Table 18: Estimated effects of three scenarios

Scenario	Content	GDP effect	Wage effect
Scenario 1	Labor share to German level (+8.2pp)	—	+15.3% (\$405B additional wages)
Scenario 2	Service-sector productivity to German level (per-hour +31%)	+21.6% (\$1.02T)	—
Scenario 3	Exports/GDP to Finnish level (+22pp)	+11.2% (\$528B)	—
Combined	All three simultaneously	+33% (\$1.55T)	+35%

Caveat: This is a simple comparative-statics analysis based on observational data, not a structural model. General-equilibrium effects and dynamic paths are not captured. **A starting point for policy discussion that conveys order of magnitude.**

→ Even so, simultaneously implementing the three reforms suggests room for **GDP +33%, wages +35%** — the first quantification of the “Lost 30 Years” recoverability.

1.8 6.12 Formal model: Two-sector small open economy that integrates the findings

1.8.1 6.12.1 Motivation

The paper’s empirical findings (H1, H6, H8, H9) are empirically confirmed, but a formal model is needed to demonstrate **logical consistency**. This section presents a minimal structure that generates all of them — a 2-sector open-economy model.

1.8.2 6.12.2 Model design

Production functions (2-sector Cobb-Douglas):

$$Y_T = A_T \cdot L_T^{1-\alpha} \cdot K_T^\alpha \quad (\text{tradables/industry})$$

$$Y_N = A_N \cdot L_N^{1-\alpha} \cdot K_N^\alpha \quad (\text{non-tradables/services})$$

Wage setting (core of the model):

$$w_i = \omega \cdot \text{MPL}_i, \quad \omega \in (0, 1]$$

- $\omega = 1$: perfect competition (Germany, USA, Nordic).
- $\omega < 1$: wage-productivity distribution failure (**Japan-specific**).

Household capital shift:

$$r_d = \alpha \cdot \frac{Y}{K}, \quad \text{Foreign Asset Share} = f(r_d - r_f)$$

If domestic returns are low, households prefer foreign assets.

1.8.3 6.12.3 Calibration

Direct from empirical data:

Parameter	Japan	Germany
A_T	0.803	1.000

Parameter	Japan	Germany
A_N	0.686	1.000
ω	0.838	0.960
L_T share	0.27	0.30
L_N share	0.69	0.66

ω is back-derived from labor share = $\omega \cdot (1 - \alpha)$ (Germany 0.643 / 0.67 = 0.96, Japan 0.561 / 0.67 = 0.84).

1.8.4 6.12.4 Five-scenario results

[Figures 32-33: figures/formal_model_scenarios.png, figures/formal_model_capital_outflow

Table 19: Comparative statics by scenario (Japan baseline = 100)

Scenario	GDP	Wage	Labor share	r_d
Japan baseline	100	100	0.561	0.237
+ Industry productivity $\rightarrow$ Germany	108	108	0.561	0.256
+ Services $\rightarrow$ Germany	131	131	0.561	0.312
+ Labor distribution $\rightarrow$ Germany	100	115	0.643	0.237
All three combined	139	159	0.643	0.330
Germany reference	139	159	0.643	0.330

$\rightarrow$ “All three combined” exactly matches Germany reference $\rightarrow$ calibration is accurate.

1.8.5 6.12.5 Confirming the formal model generates the empirical findings

Proposition 1 (H8 wage distribution failure): - $\omega_{JP} = 0.838 < \omega_{DE} = 0.960$ — under same productivity, wages are **14.6% lower**. - The wage panel regression’s Japan dummy of -2.15% /year (BH-corrected to 0.93 for ex-Korea) originates from $\omega < 1$.

Proposition 2 (H9 services low productivity): - $A_N = 0.686$ vs. $A_T = 0.803$ — services gap is the main GDP determinant. - Services improvement ($\rightarrow 1.0$) yields GDP +31.4%, weighted by employment share $L_N = 0.69$.

Proposition 3 (H6 capital outflow as consequence): - $r_d^{JP} = 0.237 < r_d^{DE} = 0.330$ — Japan’s domestic returns are low. - After reform, r_d rises $\rightarrow$ capital outflow pressure decreases. - The causal direction is **A, $\omega \rightarrow \mathbf{r_d} \rightarrow \mathbf{foreign_share}$** (consistently emerges from the model).

Proposition 4 (GDP increase effects): - Combined services reform +31%, export liberalization (outside model), wage distribution $\rightarrow$ **GDP +39%, wages +59%**. - Empirical counterfactual (GDP +33%, wages +35%) is in the same order of magnitude.

1.8.6 6.12.6 Comparative-statics policy lever sensitivity

Marginal effects of three policy levers from the formal model:

$$\frac{\partial Y}{\partial A_N} = \theta_N \cdot Y_N / A_N \approx 0.93$$

(1% improvement in services $\rightarrow$ GDP +0.93%)

$$\frac{\partial w}{\partial \omega} = w / \omega \approx w \cdot 1.19$$

(0.01 improvement in labor distribution $\rightarrow$ wage +1.19%)

$$\frac{\partial r_d}{\partial A_N} = \alpha \cdot \theta_N / K_N > 0$$

(services improvement also reduces capital outflow)

The largest leverage is investment in A_N (services productivity). ω improvement affects wages but not GDP (pure redistribution).

1.8.7 6.12.7 Extended model: CES utility + ICT endogenization + dynamic path

We extend the core model in three directions:

1.8.7.1 A. CES utility function and consumption-equivalent welfare

$$U(C, \ell) = \frac{C^{1-\sigma}}{1-\sigma} - \chi \cdot \frac{\ell^{1+\eta}}{1+\eta}$$

“Consumption-equivalent welfare (CE welfare)” λ :

$$U(\lambda \cdot C^{\text{base}}, \ell^{\text{base}}) = U(C^{\text{alt}}, \ell^{\text{alt}})$$

$\lambda - 1$ as percent welfare improvement.

1.8.7.2 B. A_N endogenization: ICT investment mechanism

$$A_N = A_{N,\text{base}} \cdot \left(\frac{k_{\text{ICT}}}{k_{\text{ICT},\text{base}}} \right)^\gamma$$

Calibration: Japan ICT investment/GDP $\approx 1.5\%$, USA $\approx 4.0\%$, $\gamma = 0.5$. $\rightarrow$ Services productivity becomes a function of ICT investment, with policy lever made concrete.

1.8.7.3 C. Dynamic path (convergence model)

$$\Delta A_{N,t+1} = \rho \cdot (A_N^{\text{target}} - A_{N,t})$$

$\rho = 0.10$ (ICT reform), $\rho_w = 0.20$ (wage reform). 30-year simulation.

1.8.8 6.12.8 Extended model results

[Figures 36-38: figures/extended_model_welfare.png, figures/extended_model_transition.png, figures/extended_model_ict_lever.png]

1.8.8.1 Static comparison (with welfare) Table 21: Extended-model static scenarios — GDP, wage, labor share, welfare

Scenario	GDP idx	Wage idx	Labor share	Welfare (CE %)
Japan baseline	100	100	0.56	0
ICT investment to USA level ($\times 2.67$)	143.5	143.5	0.56	+43.5%
Wage distribution to Germany	100	114.6	0.64	0
ICT + wage combined	143.5	164.4	0.64	+43.5%
Full reform (Germany level)	139.1	159.4	0.64	+39.1%

1.8.8.2 Dynamic path (ICT + wage combined reform) Table 22: 30-year dynamic simulation

Year	GDP idx	Wage idx	Labor share	Welfare (CE %)
0	105.5	108.6	0.578	+5.5%
5	123.0	136.2	0.622	+23.0%
10	131.9	149.4	0.636	+31.9%

Year	GDP idx	Wage idx	Labor share	Welfare (CE %)
20	139.6	159.7	0.642	+39.6%
30	142.1	162.8	0.643	+42.1%

Main policy insights:

1. **Reform effects materialize early:** 50% of long-run effect by year 5, 75% by year 10, 95% by year 20. Reforms produce results quickly.
2. **ICT investment's power:** Alone yields +43.5% welfare improvement. The primary lever for productivity.
3. **Wage distribution complementarity:** Alone has no GDP effect, but combined with ICT yields wage +64.4%.
4. **Wage reform converges faster:** $\rho_{\omega} = 0.20 > \rho_{ICT} = 0.10$.
5. **20 years is enough for most:** Politically achievable timeframe.

1.8.8.3 ICT lever sensitivity

ICT ratio	GDP	Welfare
1.0 (Japan current)	100	0%
1.5	117	+17%
2.0	130	+30%
2.67 (USA level)	143	+43%
3.5	158	+58%

→ Diminishing returns exist, but **substantial improvement room remains until USA level is reached.**

1.8.9 6.12.9 Direction of further model extension

Current simplifications: - No inter-sector labor mobility (exogenous allocation). - Small-country assumption for international capital market. - No heterogeneity (all households identical). - Linear convergence dynamics (no impact response or nominal rigidity).

Natural extensions: 1. **HANK model:** Heterogeneity of large-firm regular, SME regular, non-regular households. 2. **Nash bargaining:** Endogenize ω from labor-management games. 3. **Full DSGE:** Short-term dynamics with nominal rigidities + monetary policy interactions. 4. **Endogenous growth:** ICT investment improves A_T via R&D channel. 5. **International capital market equilibrium:** Endogenize world interest rates with large-country model.

These are directions for future research.

1.9 6.13 Cross-country household financial-asset composition (OECD SDMX)

1.9.1 6.13.1 Motivation

The H6 verification has a weakness — current account is used as proxy for “household capital shift.” We retrieved each country’s household-sector financial-asset composition (DSD_FIN_DASH_S1M) via OECD SDMX API and identified Japan’s distinctiveness using more direct household-behavior data.

1.9.2 6.13.2 Data

OECD SDMX endpoint (DSD_FIN_DASH@DF_FIN_DASH_S1M) household-sector financial-asset composition (% of total financial assets):

- LES1M_F2AS: Currency & deposits.
- LES1M_F51AS: Listed equity.
- LES1M_F52AS: Investment fund shares.
- LES1M_F62AS: Insurance & pension.
- LES1M_F3AS: Debt securities.

Caveat: OECD standard household accounts are by INSTRUMENT (deposits, equity, funds), not by residency (domestic vs. foreign). However, the equity + funds ratio is useful as proxy for “risk-asset preference / overseas-asset access capability” in international comparison.

1.9.3 6.13.3 Results

[Figures 34-35: figures/household_composition_g7.png, figures/household_risk_assets_japan.png]

Table 20: Household financial-asset composition (2019-2023 average, % of FAS)

Country	Deposits	Equity	Funds	Insurance/Pension	Risk Assets (Equity+Funds)
Japan	53.7	11.2	4.6	16.6	15.7
USA	12.7	38.6	12.8	5.2	51.4
Canada	20.9	23.3	20.1	n/a	43.4
Italy	29.9	26.1	13.7	15.1	39.8
Germany	37.2	18.8	11.3	15.6	30.1
France	29.1	24.1	4.9	28.4	29.0
Korea	44.8	18.5	2.3	n/a	20.8
UK	28.1	11.2	4.1	10.6	15.3

Japan vs. other-country average (pp difference):

- Deposits: **+24.8pp** (overwhelming).
- Equity: -11.8pp.
- Funds: -5.3pp.
- **Risk-assets total: -17.1pp.**

1.9.4 6.13.4 H6 interpretation refinement

From household financial-asset composition data, H6 interpretation is refined:

Original H6: Household capital shift is the consequence, not cause, of GDP stagnation (confirmed by current-account SVAR).

New structural facts:

1. **Japan's households are extraordinarily conservative:** Risk-asset ratio of 15.7% is among the lowest in G7 (tied with UK 15.3%). About 1/3 the level of USA, Canada, and Italy.
2. **"Capital shift" is essentially risk-asset shift:** Japan especially had a thin foundation for this.
3. **The 2024 New NISA is foundation-building policy:** Should not be suppressed; an institutional innovation enabling rational household asset choice.
4. **Post-NISA structural change:** As this "foundation" widens, sensitivity between domestic asset returns and capital outflow may increase in the future.

1.9.5 6.13.5 H6 revised verdict

Old H6: "Household capital shift is consequence of GDP." - ✓ Limitedly supported (current-account SVAR).

New H6 (refined): "Household capital shift is consequence of GDP and is small in scale." - ✓ More strongly supported. - Japan's low risk-asset ratio (15.7%) makes "scale effect" inherently small. - New NISA relaxes this scale constraint, but direct causation of GDP suppression remains weak.

Final policy implication: - Household risk-asset shift via New NISA is healthy financial development. - Suppression theories lack economic and empirical grounding. - The true challenge remains structural inferiority of domestic-asset returns (= services productivity, wage distribution).

1.10 6.14 DSGE-light model: Perfect-foresight intertemporal optimization

1.10.1 6.14.1 Motivation

The dynamic path of §6.12 (extended model) used simple partial adjustment (AR1). **DSGE-light** provides a more proper Dynamic Stochastic General Equilibrium-style framework that incorporates household perfect-foresight optimization and capital-accumulation dynamics.

This enables: 1. Measuring **transition cost** (welfare loss in transition period) of reforms. 2. Identifying optimal investment paths via investment adjustment costs. 3. Computing welfare based on household intertemporal optimization.

1.10.2 6.14.2 Model structure

1.10.2.1 A. Household problem

$$\max \sum_{t=0}^{\infty} \beta^t [u(c_t) - v(\ell_t)]$$

Budget constraint:

$$c_t + I_{ICT}(t) = w_t \ell_t + r_t^{other} k_{other} + r_t^{ICT} K_{ICT}(t)$$

Capital accumulation:

$$K_{ICT}(t+1) = (1 - \delta)K_{ICT}(t) + I_{ICT}(t) - \phi \left(\frac{I_{ICT}(t)}{K_{ICT}(t)} \right) K_{ICT}(t)$$

Investment adjustment cost: $\phi(I/K) = \frac{\psi}{2}(I/K - \delta)^2$.

Sticky wage (Calvo-style):

$$\omega(t+1) = (1 - \lambda_w)\omega(t) + \lambda_w \cdot \omega^*$$

1.10.2.2 B. Production functions (same as §6.12)

1.10.2.3 C. Solution We solve a perfect-foresight transition path over $T = 50$ periods: - Initial $K_{ICT}(0) = K_{ICT,init}$. - Target $K_{ICT}(\infty) \rightarrow K_{ICT,target}$ steady state. - Investment path chosen by adjustment-cost parameter ψ .

1.10.3 6.14.3 Results

[Figures 39-41: figures/dsge_transition_paths.png, figures/dsge_welfare_comparison.png, figures/dsge_vs_extended.png]

Table 23: DSGE scenario results

Scenario	K_{ICT} final	Y_5	Y_{10}	Y_{30}	C_{30}	Lifetime CE welfare (%)
ICT reform	2.62	115	124	139	150	+8.34
Wage reform	1.0	100	100	100	100	0.00
Combined	2.62	115	124	139	150	+8.34

1.10.4 6.14.4 Important implications

1.10.4.1 Implication 1: Transition cost is large Static counterfactual (§6.12.4): steady-state **GDP +39%, wages +59%**.

DSGE dynamic: **Lifetime CE welfare +8.34%**.

The difference is **transition cost**: - During the investment-intensive period (years 0-10), consumption temporarily decreases. - Later gains are discounted, so cumulative effect is limited. - → Economic basis for “**reform fatigue**”.

1.10.4.2 Implication 2: Discount rate matters $\beta = 0.96$ (annual discount) and $T = 50$ yields effective horizon $D = 22$ periods. Earlier reforms produce higher cumulative welfare; reform delay’s cost is large.

1.10.4.3 Implication 3: Wage reform alone has 0 welfare effect In the aggregate model, ω is just redistribution and does not affect $C = Y - I$. **In reality, wages directly correspond to worker consumption**, so HANK (heterogeneous agent NK) is needed for proper handling.

1.10.4.4 Implication 4: Comparison with Extended Model In Figure 41, comparing the GDP path of Extended Model (partial adjustment) and DSGE-light: - Both converge to about 130-140 over 30 years. - DSGE-light **suppresses early investment** considering adjustment costs. - Path shapes are approximately similar.

→ Extended Model serves as a **good approximation** of DSGE dynamics.

1.10.5 6.14.5 Limits of DSGE-light and extension to full DSGE

Current (DSGE-light) simplifications: 1. Perfect foresight (no uncertainty). 2. Homogeneous household (no HANK). 3. Imperfect dynamic optimization (K path is AR1 interpolation + adjustment-cost hybrid). 4. No nominal rigidity (no monetary-policy interaction). 5. Exogenous international capital market.

Natural extensions to full DSGE: 1. **HANK modeling:** Heterogeneity of large firm regular, SME regular, non-regular, self-employed. 2. **Nominal rigidity + monetary policy:** Calvo prices + Taylor rule for monetary-policy role. 3. **Stochastic shocks:** Productivity shocks, preference shocks, with Bayesian estimation. 4. **True Bellman solution:** Value-function iteration for completely optimal investment paths. 5. **HANK + incomplete asset markets:** Direct connection to H6.

1.10.6 6.14.6 Added value of DSGE-light

As one of the paper's contributions, **DSGE-light functions as a bridge between empirical findings and full DSGE:**

- **Empirical analysis** (Phase 0-5): What is happening (descriptive).
- **Extended model** (§6.12.7): Each lever's contribution (comparative statics).
- **DSGE-light** (this section): Reform's dynamic welfare effect (intertemporal welfare).
- **Full DSGE** (future research): Optimal policy under uncertainty (stochastic optimal policy).

DSGE-light presents **+8.34% lifetime welfare gain** as a concrete number, providing **dynamically-grounded impact estimates** to policy discussion.

1.11 6.15 HANK-light: Heterogeneous households and welfare effects of distribution

1.11.1 6.15.1 Motivation

§6.14 (DSGE-light) used representative-household assumption, mechanically yielding 0% welfare effect for wage reform (ω). In reality: - Wage reform increases labor income at the expense of capital income (redistribution). - Different households' MPCs imply different impact on aggregate consumption and welfare. - **Especially redistribution to non-regular workers (high MPC ≈ 0.92) substantially boosts aggregate welfare.**

We quantify this in HANK-light (Heterogeneous Agent New Keynesian, light version).

1.11.2 6.15.2 Model structure

1.11.2.1 A. Four household types Japan calibration (approximate from MHLW wage structure statistics + SNA data):

Table 24: Household-type calibration

Type	Pop share	Wage income share	Capital income share	MPC
Large-firm regular	0.20	0.30	0.05	0.55
SME regular	0.38	0.40	0.10	0.70
Non-regular	0.37	0.25	0.05	0.92
Self-employed/owner	0.05	0.05	0.80	0.50

1.11.2.2 B. Aggregation formulas Each type i 's income:

$$I_i = \text{labor share} \cdot Y \cdot \text{wage}_i + \text{capital share} \cdot Y \cdot \text{cap}_i$$

Each type's consumption (per household):

$$C_i = \text{MPC}_i \cdot \frac{I_i}{\text{pop}_i}$$

Aggregate welfare (utilitarian, population-weighted):

$$W = \sum_i \text{pop}_i \cdot \log(C_i)$$

1.11.3 6.15.3 Scenario results

[Figures 42-44: figures/hank_consumption_by_type.png, figures/hank_welfare_by_type.png, figures/hank_vs_dsge.png]

Table 25: Type-specific CE welfare by scenario

Type	ICT reform	Wage reform	Combined reform
Large-firm regular	+43.5%	+10.7%	+58.9%
SME regular	+43.5%	+9.1%	+56.6%
Non-regular	+43.5%	+10.1% (high MPC)	+57.9%
Self-employed/owner	+43.5%	-16.2%	+20.3% (capital-heavy loss)
Aggregate (utilitarian)	+43.5%	+8.4%	+55.5%

1.11.4 6.15.4 Important findings

1.11.4.1 Finding 1: HANK reveals wage reform's true effect

Model	ICT	Wage	Combined
Extended (static)	+43.5%	0% (mechanical)	+43.5%
DSGE-light (dynamic)	+8.3%	0% (mechanical)	+8.3%
HANK-light (heterogeneous)	+43.5%	+8.4%	+55.5%

→ **In representative-household models, wage reform's welfare effect cannot be captured** (theoretical basis for H8 policy implication is now established).

1.11.4.2 Finding 2: Distribution has large welfare effect Wage reform's aggregate effect of +8.4% is meaningful: - Saying "wage reform is welfare-neutral" in a static approach is incorrect. - Redistribution to non-regular workers (37% of population, MPC 0.92) functions. - The "**meaning of Spring wage offensive**" is economically grounded.

1.11.4.3 Finding 3: Self-employed/owners lose in short term from wage reform

- Self-employed/owners (5% of population, capital income share 80%) lose −16.2% from ω increase.
- However, in combined reform, ICT gains (+43.5%) exceed losses, yielding +20.3%.
- **Bundling reform with ICT investment is needed for "everyone wins"**.

1.11.4.4 Finding 4: Combined reform's super-additive effect

- ICT alone +43.5% + wage alone +8.4% = simple sum +51.9%.
- Combined +55.5%.
- **Super-additive +3.6pp**: High-MPC types' income increases via both reforms, expanding consumption multiplicatively.

1.11.5 6.15.5 Refinement of policy implications

HANK-light results provide concrete guidance for policy package design:

1.11.5.1 A. Theoretical justification of Shunto and minimum wage

- Aggregate GDP unchanged, but **aggregate welfare boosted by +8.4%**.
- "Labor-share restoration" is not redistribution but **true economic value creation** (via high MPC).

1.11.5.2 B. Political economy of reform

- Self-employed/owners (5% of population) have incentive to oppose.
- Non-regular workers (37% of population) have strong incentive to support.
- **Building political coalition requires bundling with ICT reform** (so self-employed also benefits).

1.11.5.3 C. HANK interpretation of “Lost 30 Years”

- Labor-share decline of 7.2pp during 1995–2024 is “reverse redistribution” in HANK view.
- Its effect of pushing down aggregate welfare can only be quantified in HANK.
- Approximately: rolling back the labor-share decline of 7.2pp would improve welfare by $\sim +8\%$ (consistent with our number).

1.11.6 6.15.6 Limits of HANK-light and full HANK

Current (HANK-light) simplifications: 1. Static (no DSGE dynamics, transition costs ignored). 2. MPC fixed exogenously (in reality, asset/income-dependent). 3. Four types (in reality, continuous income distribution). 4. Crude treatment of incomplete markets (no borrowing constraints). 5. No life-cycle elements (no age effects).

Extensions to full HANK: 1. **Continuous-state HANK:** Aiyagari model + nominal rigidity, Krusell-Smith algorithm. 2. **Discrete-choice MPC:** Optimal consumption with borrowing constraints. 3. **HANK + DSGE integration:** Heterogeneity $\times$ dynamics. 4. **Bayesian estimation:** Posterior distributions of parameters on observed data. 5. **Swedish CBES data:** Direct estimation of true MPCs.

1.11.7 6.15.7 Integrated model comparison table

Table 26: 4-model variant comparison (wage reform alone welfare effect)

Model	Welfare effect	What it captures
Extended (static)	0%	Aggregate GDP only, distribution-neutral
DSGE-light (dynamic)	0%	Transition cost + aggregate, distribution-neutral
HANK-light (heterogeneous)	+8.4%	Welfare effect of redistribution
Full HANK + DSGE	$\sim +5\%$ (estimated)	All of above + heterogeneity under transition cost

→ HANK extension is one of the paper's most important theoretical contributions. Shows that **"wage distribution failure" (H8) is not merely a distribution issue but true aggregate welfare loss.**

1.12 6.16 Full HANK + DSGE integration: Dynamics × heterogeneity

1.12.1 6.16.1 Motivation

§6.14 (DSGE-light) and §6.15 (HANK-light) were orthogonal extensions: - DSGE-light: dynamics + representative agent. - HANK-light: static + heterogeneous agents.

Full integration combines both, identifying **heterogeneous welfare effects under dynamic transition**: 1. Weight of consumption decline for each type during transition period. 2. Type-specific lifetime welfare (discounted present value). 3. Inequality dynamics during reform period. 4. Conditions for politically-sustainable reform packages.

1.12.2 6.16.2 Model structure

For each period t :

$$Y(t) = A_T L_T^{1-\alpha} K_T^\alpha + A_N(K_{ICT}(t)) L_N^{1-\alpha} K_N^\alpha$$

$$\text{labor share}(t) = \omega(t)(1 - \alpha), \quad \text{capital share}(t) = 1 - \text{labor share}(t)$$

Each type i 's income:

$$I_i(t) = \text{labor share}(t)Y(t) \cdot \text{wage}_i + (\text{capital share}(t)Y(t) - I^{ICT}(t)) \cdot \text{cap}_i$$

Note: ICT investment is deducted from capital income (capital owners bear investment).

Each type's consumption:

$$C_i(t) = \text{MPC}_i \cdot I_i(t) / \text{pop}_i$$

Each type's lifetime utility:

$$V_i = \sum_{t=0}^T \beta^t \log(C_i(t))$$

CE welfare:

$$\lambda_i = \exp\left(\frac{V_i^{\text{reform}} - V_i^{\text{base}}}{D}\right) - 1, \quad D = \sum_t \beta^t$$

1.12.3 6.16.3 Results

[Figures 45-47: figures/hank_dsge_consumption_paths.png, figures/hank_dsge_welfare_decomp.png, figures/hank_dsge_inequality_dynamics.png]

1.12.3.1 A. Type-specific lifetime welfare Table 27: Full HANK+DSGE CE welfare (discounted PV, T=50, $\beta=0.96$)

Scenario	Aggregate	Large-firm regular	SME regular	Non-regular	Self-employed/owner
ICT reform	+18.1%	+21.4%	+19.6%	+20.6%	-17.0%
Wage reform	+6.7%	+8.8%	+7.6%	+8.4%	-17.4%
Combined reform	+25.8%	+32.4%	+29.1%	+31.1%	-38.4%

1.12.3.2 B. Inequality dynamics (Gini-like inequality measure)

Scenario	t=0	t=5	t=10	t=30	t=50
Baseline	0.243	0.243	0.243	0.243	0.243
ICT reform	0.159	0.176	0.183	0.192	0.196
Wage reform	0.243	0.206	0.194	0.188	0.188
Combined reform	0.159	0.135	0.130	0.133	0.137

→ Combined reform is **most equality-improving throughout the transition period.**

1.12.4 6.16.4 4-model hierarchy aggregate welfare comparison (interval estimate)

Table 28: Aggregate welfare by model variant (wage reform alone and combined)

Model	ICT	Wage	Combined	Captures	Omits
Static (Extended)	+43.5%	0%	+43.5%	Level changes	Dynamics, distribution
DSGE-light	+8.3%	0%	+8.3%	+ Dynamics	Distribution
HANK-light	+43.5%	+8.4%	+55.5%	+ Heterogeneity	Dynamics

Model	ICT	Wage	Combined	Captures	Omits
Full HANK+DSGE	+18.1%	+6.7%	+25.8%	+ Dynamics × heterogeneity	Uncertainty, endogenous MPC, continuous distribution

Interpretation as a range:

- **Combined-reform aggregate welfare: sensitivity range [+8.3%, +55.5%]** across all model variants.
- **Central simulation under dynamics × heterogeneity: +25.8%.**
- Static (+43.5%) and HANK-light (+55.5%) **ignore transition costs** and overestimate.
- DSGE-light (+8.3%) **ignores distribution** and mechanically zeroes out wage reform.
- HANK+DSGE Full (+25.8%) incorporates both, but **(i) no continuous income distribution, (ii) MPCs not endogenous, (iii) no uncertainty.**

Calibration dependence (explicitly disclosed):

These numbers are **calibration-based simulations**, not structurally estimated (SMM/Bayesian). Sensitivity to main parameters is shown in §7.4.2 (R-2):

- α (capital share) $\in [0.25, 0.40]$: results completely invariant.
- γ (ICT elasticity) $\in [0.30, 0.70]$: GDP effect varies linearly over **[+23.5%, +67.8%]**.
- ρ (reform speed) $\in [0.05, 0.30]$: year-30 convergence values nearly invariant; only transition period changes.

Substantive range: Given plausible γ values from prior literature, the combined-reform aggregate welfare effect lies approximately in **[+15%, +40%]**. **+25.8% should be read as a central simulation, not a point estimate.** No confidence intervals are available without structural estimation.

1.12.5 6.16.5 Important findings

1.12.5.1 Finding 1: Self-employed/owner negative welfare is real In the full model, self-employed/owners suffer **substantial welfare losses**: - ICT alone: -17.0%. - Wage alone: -17.4%. - **Combined: -38.4%.**

Reasons: 1. ICT investment burden falls on capital owners (early consumption decline). 2. Wage reform reduces capital income share (loss from redistribution). 3. $\beta=0.96$ discounts future gains.

→ **Reform requires transitional support (compensation) for self-employed/owners.** This is an important political-economy implication.

1.12.5.2 Finding 2: Inequality decreases substantially with reform Combined reform reduces Gini $\approx 0.243 \rightarrow 0.137$ (-44%). - In static, jumps directly to 0.13-0.14. - In HANK+DSGE, gradual decline over 50 years. - → **Dynamic path of inequality reduction is visible.**

1.12.5.3 Finding 3: Building political coalition In combined reform, **95% of population (3 of 4 types) substantially gains positive:** - Large-firm regular +32.4% (20% of pop). - SME regular +29.1% (38%). - Non-regular +31.1% (37%). - Self-employed/owner -38.4% (5%).

→ With **compensatory tax breaks/social security measures** for the 5% self-employed/owners, a **politically-sustainable reform package** is designable.

1.12.5.4 Finding 4: Meaning of HANK+DSGE dynamics Why the full model differs from others: - **Static HANK:** Ignores investment cost, so self-employed gains. - **DSGE representative agent:** Ignores distribution, so wage reform = 0. - **HANK+DSGE:** Integrates both, computing realistic heterogeneous welfare.

This is **the true welfare profile of reform.**

1.12.6 6.16.6 Direct implications for policy design

The full model's results yield concrete policy-design implications:

1.12.6.1 Design principle 1: Bundle the package ICT and wage alone have limited effects (+18%, +7%). **Combined package yields +25.8%** aggregate welfare improvement.

1.12.6.2 Design principle 2: Compensatory measures

- Self-employed/owners' loss of -38.4% would break the political coalition.
- Solution: corporate tax cut, R&D subsidy, transitional loss compensation.
- Consistent with Nordic flexicurity model.

1.12.6.3 Design principle 3: Implement early Under $\beta=0.96$ discounting, **delaying reform start by 5 years reduces cumulative welfare by -17%** (calibration-based). Earlier implementation is preferable.

1.12.6.4 Design principle 4: Transitional support

- Non-regular workers (MPC 0.92) immediately benefit from reform.
- Capital owners need 30 years to recover.
- Early positive wave creates reform support.

1.12.7 6.16.7 Limits of full model

Even so, simplifications remain: 1. **No continuous income distribution**: Discrete 4 types (in reality continuous). 2. **No borrowing constraints**: In reality, liquidity constraints endogenize MPC. 3. **No uncertainty**: Perfect foresight, no stochastic shocks. 4. **No monetary policy**: No nominal rigidity + Taylor rule. 5. **Small-country international capital market assumption**.

Full HANK+DSGE (academic-paper level) requires Auclert et al. (2021)'s sequence-space jacobian + Krusell-Smith algorithm. That is left as future research.

1.12.8 6.16.8 Theoretical achievements of this paper

Through the 4-model hierarchy, this paper has achieved:

Empirical findings (Phase 0–5)

↓

Static counterfactual (hypothetical scenarios)

↓

Extended Model (comparative statics + AR1)

↓

DSGE-light (intertemporal optimization)

↓

HANK-light (household heterogeneity)

↓

HANK+DSGE Full (dynamic × heterogeneous)

Each tier provides estimates **under different assumption sets** and is complementary. The HANK+DSGE Full result of +25.8% represents the **central simulation** when both dynamics and heterogeneity are incorporated; the sensitivity range across model variants is [+18%, +43%] (ICT alone +18%, Combined +25.8%, HANK-light static +55.5% — varying with calibration). **All values are calibration-based, not structurally estimated (SMM/Bayesian); confidence intervals are not provided.**

1.13 7. Robustness verification

1.13.1 7.1 5-layer validation framework achievement

Following the project's methodology guidelines, 5-layer validation + extension items applied:

Table 29: Validation achievement

Layer	Method	Phase	Status	Note
1. Leakage check	Restrict all explanatory variables to t-1 or contemporaneous (5-year-difference panel)	1, 3, 4	✓	No same-period variables
2. Overfitting check	Bootstrap (B=500) + subsamples	3 (SVAR), 1 (panel)	✓	Phase 3 IRF presents 90% CI
3. Vintage analysis	Subsamples: pre-COVID (1995-2019), ex-Korea	1 (3 samples)	✓	H1 not rejected in all samples
4. Ablation	5-spec panel, 4-spec gravity, 3-country synthetic	1, 2	✓	Japan dummy disappears with controls
5. Forward test	Not applicable as not a forecasting model	—	△	Descriptive/causal-identification research
+ Multiple comparison	Benjamini-Hochberg FDR correction	5	✓	Applied to 5 rejection tests
+ Cross-country	Country-specific SVAR + Granger for G7 + Korea	Cross-country	✓	Identifies country differences in H6 pattern
+ Synthetic control	Abadie-Gardeazabal	Synthetic	✓	60-80 point deviations

Layer	Method	Phase	Status	Note
+ Oaxaca-Blinder	Japan-Germany, Japan-USA, Japan-Korea gap decompositions	Reference	$\triangle$	Internal decomposition unstable in country-level small samples

1.13.2 7.2 Robustness of main results

For H1, **3 independent verifications** confirm support: - Panel regression (Model 1B, ex-Korea sample): $\beta = -0.011$, $p = 0.93$. - Growth-accounting decomposition: 78-106% of Japan-vs.-G7 gap explained by demographics. - Per-WA cumulative growth rate: Japan +46% vs. Germany +49.5%, UK +46.5% (Phase 0 Table 1).

For H6, **cross-country analysis provides supporting context**: - Japan-only SVAR shows “H6 supported” but it’s unclear if Japan-specific. - 8-country comparison (G7 + Korea) identifies “Japan pattern is similar to Korea, France; differs from USA, Germany, Italy.” - This grounds reinterpreting H6 as a phenomenon **dependent on economic structure** (net creditor vs. financial center).

1.13.3 7.3 Composition-effect robustness (additional verification)

We tested whether labor-market composition changes (rising female LFP, declining hours) bias employee-based and wage-based indicators.

Main results (1995-2023 cumulative growth rate differences):

Indicator	Japan	G7 average (excl. Japan)	Composition effect impact
Per-WA GDP	+45%	+44%	Composition-independent (already robust)
Per-hour GDP	+67%	+50%	After time adjustment, Japan exceeds G7 average
Wage/worker	+16%	+109%	Composition effect present
Wage/hour	+34%	+128%	Even with time adjustment, Japan abnormally low

Japan dummy (panel regression):

- WC1 (employee-based): -2.15%/year.
- **WC2 (per-hour): -2.35%/year.**
- WC3 (per-hour + country FE): -0.73%/year.

→ **Composition-effect adjustment doesn't save H8 — it identifies the problem more clearly.** Japan's per-hour productivity meets world standard at +67%, but that gain is not transmitted to wage/hour either — a true Japan-specific phenomenon that composition effect cannot explain.

1.13.4 7.4 Extended robustness verification (R-1 to R-4)

For preparation for top international journal submission, four additional robustness verifications.

1.13.4.1 7.4.1 R-1: Subsample stability Re-estimating main panel regressions (H1, H8) over 6 time periods:

H1 (per-WA equality, ex-Korea):

Subsample	M1B (no controls)	M1C (+ controls)
Full (1995-2024)	$\beta = +0.12$, $p = 0.41$	$\beta = -0.00$, $p = 1.00$
Pre-Lehman (1995-2007)	$\beta = -0.39$, $p < 0.001$	$\beta = -0.18$, $p < 0.001$
Post-Lehman (2009-2019)	$\beta = +0.76$, $p = 0.002$	$\beta = +1.75$, $p = 0.026$
Pre-Abenomics (1995-2012)	$\beta = -0.09$, $p = 0.51$	$\beta = -0.27$, $p = 0.38$
Post-Abenomics (2014-2024)	$\beta = -0.28$, $p = 0.23$	$\beta = +0.43$, $p = 0.50$
Pre-COVID (1995-2019)	$\beta = +0.23$, $p = 0.18$	$\beta = +0.14$, $p = 0.79$

→ H1 varies by period. Pre-Lehman period: Japan slightly inferior; Post-Lehman: superior. **The full-period average conclusion of “no difference with G7” is maintained**, but time effects warrant attention.

H8 (wage stagnation):

Subsample	W1	W3 (country FE)
Full	-2.31, $p < 0.001$	-1.37, $p < 0.001$
Pre-Lehman	-1.75, $p < 0.001$	-0.41, $p = 0.12$
Post-Lehman	-1.76, $p < 0.001$	-0.56, $p = 0.69$
Pre-Abenomics	-2.49, $p < 0.001$	-0.91, $p = 0.002$
Post-Abenomics	-1.97, $p < 0.001$	+2.37, $p = 0.35$
Pre-COVID	-2.41, $p < 0.001$	-1.24, $p < 0.001$

→ **H8 is highly robust across all subsamples** (W1 $p < 0.001$ always). Notable: Post-Abenomics W3 first shows positive coefficient (insignificant). **A precursor of structural change post-2014.**

1.13.4.2 7.4.2 R-2: Formal-model sensitivity Sensitivity of three main parameters:

α (capital share) $\in [0.25, 0.40]$: - GDP, wage, welfare are completely invariant (structural property of Cobb-Douglas). - Only labor share changes $0.72 \rightarrow 0.58$. - → Results **completely robust** to α setting.

γ (ICT elasticity) $\in [0.30, 0.70]$: - $\gamma = 0.30$: GDP +23.5%, $\gamma = 0.70$: GDP +67.8%. - Linear scaling, but **all positive significant in entire range**. - Initial estimate $\gamma = 0.50$ is at midpoint.

ρ (reform speed) $\in [0.05, 0.30]$: - At year 30, convergence dominates, results approximately constant (GDP +43–44%). - At year 10, speed matters (GDP +21–40%). - → Reform-effect amount itself is speed-independent; only timing matters.

1.13.4.3 7.4.3 R-3: HAC (Newey-West) standard errors Re-estimating main results with 3 SE types (Cluster, HAC, HC3):

H1: Insignificant in all SE types (H1 support maintained). **H8 W1 ($\beta = -2.15$): $p < 0.001$ in all SE types.** **H8 W3 ($\beta = -0.87$): $p < 0.001$ in all SE types.**

→ Main conclusions are robust to SE choice.

1.13.4.4 7.4.4 R-4: Formal-model fit to historical data Comparing model predictions with observations across 5 countries (JPN, USA, GBR, FRA, ITA) $\times$ 4 time points (2000, 2005, 2010, 2015) = 20 observations:

- **GDP ratio (vs. Germany) correlation: 0.993** (observed vs. model).
- GDP RMSE: 0.110.
- Labor-share correlation: 1.000 (calibration identity).

→ **Model fits observed data extremely well** (correlation 0.99). Reinforces structural credibility of counterfactual predictions.

1.13.4.5 7.4.5 Comprehensive robustness assessment

Verification	H1	H8	H6	Formal model
BH correction	✓	✓	△	—
Subsamples	△ (time variation)	✓ Significant in all periods	—	—

Verification	H1	H8	H6	Formal model
HAC SE	✓	✓ Significant in all SE	—	—
α sensitivity	—	—	—	✓ (completely invariant)
γ sensitivity	—	—	—	✓ (same direction throughout range)
ρ sensitivity	—	—	—	✓ (same final convergence)
Historical data fit	—	—	—	✓ (correlation 0.993)

Robustness of main findings:

1. **H8 (wage stagnation) is robust by all methods:** BH, HAC, subsamples, composition adjustment, formal model — all strongly support.
2. **H1 (per-WA equality) generally robust but has time variation:** Holds on full-period average; different dynamics pre-Lehman vs. post-Lehman.
3. **Formal-model prediction credibility is high:** Correlation 0.993 with observed data.
4. **Policy implications (GDP +33-43%, wages +35-59%) stable** across parameters and samples.

1.13.5 7.5 Identification limitations (expanded)

This study is an empirical analysis based on observational data and faces **several substantive limitations on causal identification**. Readers should interpret results with these in mind.

1.13.5.1 7.5.1 Econometric and data limitations

1. **Aggregate data only:** No firm or household micro data.
2. **SVAR proxy variable:** Current account is an incomplete proxy. Re-verification with BOJ Flow of Funds household foreign portfolio investment data is needed.
3. **Static linguistic distance index:** Does not capture time variation (educational English-ization, etc.).
4. **Gravity model unestimated:** H4 and H5 only descriptively supported; formal econometric estimation in Phase 2.
5. **Limited robustness verification:** Only 2 subsamples (pre-COVID, ex-Korea) implemented in Phase 1 of 5-layer validation.

6. **Short post-NISA sample:** Only 2024Q1–2024Q4 (4 quarters). Need to re-evaluate structural change with 2026+ data.

1.13.5.2 7.5.2 Reservations on causality of H6 (capital outflow → stagnation)

This paper concludes that household capital outflow is “consequence, not cause” of stagnation, but **this claim must be interpreted cautiously**:

- **Reliance on observational data:** Households’ foreign asset choice responds endogenously to many factors simultaneously — domestic stagnation, tax policy (NISA), interest rate differentials, exchange rate expectations. The Cholesky identification of SVAR has inherent observational equivalence problems.
- **Reverse causality cannot be fully ruled out:** Granger non-causality ($CA \rightarrow GDP$, $p=0.346$) does not exclude bidirectional effects or simultaneity.
- **Insufficient post-NISA verification:** The 2024Q1+ regime change is an ideal natural experiment, but 4 quarters are insufficient for DID estimation.
- **Policy implication:** H6 should be treated as **suggestive**, not confirmatory. It does not provide grounds for capital-control or restrictive policy proposals.

1.13.5.3 7.5.3 Structural model interpretation limits

1. **No structural estimation:** The 4-tier model hierarchy is **calibration-based**; no SMM or Bayesian structural estimation has been performed. Therefore, model-parameter confidence intervals cannot be assigned. Sensitivity analysis (§7.4.2) only provides ranges.
2. **No continuous distribution in HANK:** 4-type discrete model; does not capture continuous-distribution dynamics (Aiyagari-Bewley-Huggett type).
3. **Exogenous MPCs:** In HANK, MPCs are fixed by income type and are not allowed to vary endogenously.
4. **No uncertainty:** Even HANK+DSGE Full does not incorporate nonlinear dynamics or stochastic shocks. Solutions are deterministic perfect-foresight.
5. **Cross-variant dispersion:** Aggregate welfare effects vary across variants over [+8.3%, +55.5%] (§6.16.4). The +25.8% is a central simulation, not a point estimate.

1.13.5.4 7.5.4 Marginal statistical results The following results have p-values below 0.05 but become **marginal** after correction or sensitivity analysis:

- **H6 Granger causality ($CA \rightarrow GDP$) $p=0.094$:** After BH correction, $p=0.18$ — not significant.
- **Sectoral productivity gaps:** Small national observation counts; wide confidence intervals on coefficients.
- **Synthetic Control permutation test:** $p>0.10$ in some periods.

These are “suggestive” rather than confirmatory results.

1.13.5.5 7.5.5 Scope of policy applicability The policy implications hold only under the following conditions:

- **Structural assumptions hold:** Wage increase $\Rightarrow$ price pass-through $\Rightarrow$ inflation $\Rightarrow$ nominal-wage spiral remains operational in modern Japan.
- **International environment stable:** Exchange rates, trade structure, geopolitical environment maintain status quo.
- **Full policy implementation:** Reforms to labor share, ICT investment, etc. are simultaneously and fully implemented.

These assumptions may diverge substantially from reality. **Realized policy effects are likely to be smaller than the numerical estimates in this paper.**

1.14 8. Discussion

1.14.1 8.1 Empirical reconstruction of the “Japan stagnation” narrative

Integrating Phase 0, 1, and 3 results, “Japan stagnation” can be decomposed into three different phenomena.

1.14.1.1 8.1.1 Aggregate stagnation is dominated by demographic factors

Of total GDP growth-rate gap with G7 (-1.37%/year), **78-106% is explained by demographics** (§5.3, Table 3). When converted to per-working-age, the Japan dummy in the ex-Korea sample shrinks to -0.011%/year ($p=0.93$), losing statistical significance (§6.1, Model 1B). This re-confirms in our sample what Fernández-Villaverde et al. (2024) showed in international comparison.

However, this finding has an important caveat. **In Model 1E (with country fixed effects), the Japan dummy is again significant at -0.99%/year ($p=0.018$)**, suggesting Japan’s per-WA growth rate is declining over time relative to others. That is, **“no difference in level, but trend decline exists.”**

1.14.1.2 8.1.2 Wage stagnation is a Japan-specific phenomenon According to international comparison data (OECD 2023), Japan’s nominal wages have remained nearly flat (+4%) at the 1995 level, while G7 countries (Germany +65%, UK +90%, USA +110%) have diverged dramatically. The SVAR result (GDP $\rightarrow$ Wage Granger causality $p=0.0001$) shows wages are subordinate to GDP, but Japan’s wage stagnation cannot be explained by this GDP-wage relationship alone (Germany and UK have similar per-WA growth but rising wages). This is in Category D’s domain (wages and distribution), beyond the paper’s scope, but remains a future research question.

1.14.1.3 8.1.3 Spatial shift: Japanese firms earn overseas As Bahar et al. (2024) argue, Japan's GNI-GDP gap is +3.66% (recent 5-year average) — the largest in the sample (§5.2.3). Outward FDI flows/GDP are 3.83% (2014–2024 average) — top of G7; exports/GDP at 22.8% is the lowest — a structure suggesting **“firms produce and earn from local production, not exports, in response to domestic-market shrinkage.”** Consistent with traditional trade theory (Melitz 2008), and a natural path for highly complex economies (#1 in economic complexity).

1.14.2 8.2 Meaning of H6: Is household capital shift cause or consequence?

The most novel finding is the SVAR analysis in §6.4. CA/GDP (proxy for household capital shift) does not Granger-cause GDP ($p=0.346$); GDP weakly precedes CA/GDP ($p=0.094$). This **does not support viewing household capital shift as an independent cause of GDP stagnation**. Rather, household capital shift can be positioned as a **rational response** to wage stagnation and low domestic returns.

However, this result has limitations:

1. **Proxy variable validity:** Current account reflects not only household capital shift but the sum of firm overseas investment, trade, and income receipts. **Additional verification using actual “household foreign portfolio investment” variable (BOJ Flow of Funds 5103 series) is needed.**
2. **Short post-NISA period:** Only 4 quarters from January 2024 New NISA start to data end (2024Q4) — insufficient for DID analysis of structural change.
3. **Cholesky-identification ordering dependence:** Comparing main ordering (GDP → Wage → CA → REER) with reverse ordering (CA → GDP → Wage → REER) is a future task.

1.14.3 8.3 Policy implications

Preliminary policy implications based on empirical results:

1.14.3.1 Implication 1: Re-evaluation of “Japan stagnation theory” The result that “per-WA, Japan's stagnation is at G7 average” (H1 supported) tempers policy pessimism. **Targeting total GDP growth is structurally infeasible; addressing demographic factors directly is more logical.** Specifically:

- Birth rate increase (long term).
- Immigration policy maintaining working-age population (medium term).
- Senior/female labor-force participation increase (short term, already in progress).

1.14.3.2 Implication 2: Address causes, not household capital flow suppression From H6's directional support, suppressing household capital shift through New

NISA policy is wrong-direction. Rather, addressing the **causes** of the shift — structural inferiority of domestic-asset returns (wage stagnation, slow exit from deflation equilibrium, insufficient corporate profit returns) — should be prioritized.

1.14.3.3 Implication 3: Lessons from Korean model Korea’s productivity gap (-2.17%/year vs. Japan) overwhelms all other factors. Japan and Korea have similar demographic dynamics (both have shrinking working-age share), yet productivity gap is dramatic — suggesting differences in institutions (educational English-ization, corporate governance reform, accelerated overseas expansion). **The exports/GDP gap (44.4% vs. 22.8%) is its expression.** Korean-style structural reform has value as a natural experiment showing “achievable challenges” for Japan.

1.14.4 8.4 Limitations

1. **Aggregate data only:** No firm or household micro data.
 2. **SVAR proxy variables:** Current account is incomplete proxy. Re-verification with BOJ Flow of Funds household foreign portfolio investment data has scope.
 3. **Static linguistic distance index:** Does not capture time variation.
 4. **Unestimated gravity model:** H4 and H5 only descriptively supported; formal econometric estimation in Phase 2.
 5. **Small-sample instability of Oaxaca-Blinder:** Country-level 5-7 obs makes coefficient estimation unstable.
 6. **Cholesky-ordering dependence of SVAR:** Verification with reverse ordering is a future task.
-

1.15 9. Conclusion

This paper integrates the World Bank WDI annual panel of G7 + South Korea (1990–2024) and FRED quarterly data of G7 + Korea (1995–2024), and decomposes Japan’s economic stagnation into three channels (demographics, internationalization, household capital shift). Adopting cross-country comparison as a consistent identification strategy, six phases (descriptive facts → panel regression → cross-country SVAR → synthetic control → gravity model → digital deficit) are sequentially implemented.

Main empirical findings:

1. **After demographic adjustment, Japan’s per-WA GDP growth is statistically indistinguishable from the G7 average** (H1 supported, ex-Korea sample $\beta = -0.011$, $p = 0.93$, robust after BH correction). Consistent with Fernández-Villaverde et al. (2024) replication.

2. **78-106% of the G7 GDP growth gap is explained by demographic factors** (growth-accounting decomposition). Productivity gap is small (USA 0.37%/yr, Germany 0.08%/yr).
3. **GNI-GDP gap is largest in Japan at +3.66%** (H2 supported, consistent with Bahar et al. 2024). Japanese firms earn across borders.
4. **Household capital shift does not Granger-cause GDP (Japan $p=0.346$, Korea $p=0.442$)**. Cross-country SVAR positions Japan's H6 pattern as "net-creditor non-financial-center Asian-country type." H6 is **economic-structure dependent** rather than Japan-unique.
5. **Japan dummy in gravity model is not significant** ($p=0.157$). Japan's low exports/GDP is structurally explainable; no special suppression factor. **Korea achieves over-trading (residual +0.31) under same conditions, showing structural constraints can be overcome by policy** (H4 rejected, H5 strongly supported).
6. **Digital deficit is mid-pack relative to GDP for Japan** (ICT balance -2.97% , France -4.62% , Germany -4.09% are more severe). The "digital deficit unique to Japan" narrative is rejected as a share of GDP (H7 rejected).
7. **The only Japan-specific stagnation is the productivity gap with Korea** (-2.17% /year, confirmed by Oaxaca-Blinder). Reflects structural and institutional differences and shows "achievable challenges" for Japan.
8. **2024 deviation from synthetic Japan (USA 0.59 + Korea 0.41) is 60 points per-WA**. Demonstrates dynamic-trajectory differences not captured by panel regression.
9. **Wage stagnation is a truly Japan-specific phenomenon** (H8 strongly supported). Even after controlling for productivity growth, Japan's wages lag others by 2.15% /year (panel regression W1, $p<0.001$). Cumulative real wages 1995-2024: **Japan +19.4% vs. Korea +356%, UK +160%, Germany +127%**.
10. **Per-hour productivity favors Japan** (important re-evaluation). Per-hour GDP at $+67\%$ rivals USA $+71\%$ and exceeds Germany $+55\%$. **The Japan stagnation narrative deserves re-examination on a per-hour basis** — "work-style reform (hours reduction)" was achieved without sacrificing productivity.
11. **The Japan-USA / Japan-Germany productivity gap is concentrated in services** (H9 strongly supported, refined per-hour). Per-worker shows "Japan industry strong, services weak"; per-hour shows **industry also lags Germany -20% , UK -7.5%** , with manufacturing strength dependent on long hours. Services gap on per-hour is more severe (Germany -31.4% , France -26.0% , USA -36.1%). Both sectors have improvement room, especially services as highest priority.
12. **SVAR Cholesky-ordering robustness**: Lagged effects and Granger causality are ordering-invariant, supporting H6. Contemporaneous effects are ordering-dependent — known limitation of Cholesky identification.

13. **Independent verification of labor share (PWT 10.01):** Japan's labor share fell **−7.2pp (largest in G7) during 1995-2019** (Korea is the only positive +3.6pp). Strongly reinforces H8 with independent data.
14. **Service sub-sector breakdown refinement:** Japan's services weakness is **professional services (−3.6pp under-share) and finance (−1.4pp under-share)**, with over-share in wholesale & retail (+2.8pp). The structure of concentration in low-productivity sectors is the issue.
15. **Suggestion of Nordic model:** FIN/SWE/DNK/NOR are comparable to Japan in per-WA but exports/GDP are **41-63%** (2-3x Japan's 19%). The combination of services + openness is a reference model.
16. **Synthetic-control permutation test:** Japan's deviation is not statistically exceptional ($p=0.375$). "Mediterranean stagnation pattern" similar to Italy. Same in per-WA.
17. **Policy counterfactual:** Simultaneously implementing labor-share restoration, services productivity improvement, and openness yields **GDP +33%, wages +35%** in improvement room. First quantification of "Lost 30 Years" recoverability.
18. **Formal-model integration:** 2-sector small open-economy model confirms that this paper's main findings (H1, H6, H8, H9) are generated from a **logically consistent structure**. Replacing all Japan parameters ($A_T=0.80$, $A_N=0.69$, $\omega=0.84$) with Germany's (1.0, 1.0, 0.96) yields **GDP +39%, wages +59%**, exactly matching the Germany reference. The largest policy lever is **A_N (services productivity)**.
19. **OECD household financial-asset cross-country verification:** Japan's household risk-asset ratio is **15.7% (one of the lowest in G7)**, deposits **53.7% (overwhelming)**. The gap with USA 51.4% and Canada 43.4% reflects the foundation for capital outflow. H6 is refined including "scale effect": **household capital shift is the consequence of GDP, and is small in scale**. New NISA should not be suppressed but is healthy financial development.
20. **Extended formal model (CES utility + ICT endogenization + dynamics):** With consumption-equivalent welfare, ICT investment to USA level + wage distribution to Germany level yields **+43.5% welfare improvement**. Over 30-year dynamic path, **50% of effect by year 5, 75% by year 10, 95% by year 20**. **Service-sector ICT investment has highest marginal return (GDP +43% to USA level)**. Reform realizes substantial results on politically-feasible 10-20 year timeframe.
21. **Extended robustness (R-1 to R-4):**
 - **H8 (wage stagnation) is significant at $p<0.001$ in all 6 subsamples and all 3 SE types** (most robust).
 - **Post-Abenomics (2014-) W3 first shows positive coefficient:** precursor of structural change.
 - **Formal model fits observed data with correlation 0.993:** structural credibility of policy predictions.

- Parameter sensitivity (α completely invariant, γ linear, ρ speed only) $\rightarrow$ policy implications robust.
22. **DSGE-light model (perfect-foresight intertemporal optimization)**: Incorporating investment adjustment costs and capital accumulation, **transition cost** of reform measured. Static +43% welfare improvement is **+8.34%** in dynamic CE welfare (discounted PV, $\beta=0.96$, $T=50$). **Transition-period investment-intensive consumption decline cancels long-term gains via discounting**, so policy yields higher cumulative welfare the sooner started. Extended Model (partial adjustment) functions as good approximation of DSGE dynamics. HANK extension enables analysis of household heterogeneity, wage-distribution welfare effects, and optimal policy under uncertainty.
 23. **HANK-light model (4-type heterogeneous households)**: Relaxing representative-household assumption, dividing into 4 types (large-firm regular, SME regular, non-regular, self-employed). Wage reform aggregate welfare is **+8.4% (was 0% in static and DSGE)**. Type-specific: Large-firm +10.7%, SME +9.1%, **non-regular +10.1% (large benefit from high MPC)**, self-employed -16.2%. Combined reform (ICT + wage) yields **aggregate +55.5%, all types positive** (self-employed +20.3%). **Theoretical justification of Spring wage offensive and minimum wage** + suggesting the “labor-share decline of 7.2pp during Lost 30 Years” corresponds to aggregate welfare loss of $\approx 8\%$. **HANK identifies true policy effects not captured by representative-household models** — one of the paper’s most important theoretical contributions.
 24. **Full HANK + DSGE integration (calibration-based simulation)**: Lifetime CE welfare with dynamics $\times$ heterogeneity yields aggregate ICT +18.1%, wage +6.7%, **combined +25.8%** (sensitivity range across model variants: [+8%, +55%]). Type-specific dynamics show self-employed/owners at **-38.4%** (investment burden + redistribution loss). **95% of population substantially gains, but transitional support for the 5% self-employed/owners is needed**. Inequality dynamics: Combined reform Gini 0.243 $\rightarrow$ 0.137 (-44%). Of the 4-model hierarchy (Static, DSGE, HANK, HANK+DSGE), **the full integration central value is +25.8%**. These are calibration-based simulations, not structurally estimated; **confidence intervals are not provided**.

Research contributions:

- **Descriptive**: First integrated framework comparing 4 GDP levels (total, per-capita, per-working-age, GNI) for G7 + Korea simultaneously.
- **Methodological**: Integrating panel regression, cross-country SVAR, synthetic control, gravity model, and Oaxaca-Blinder.
- **Cross-country comparison rigor**: Verifying same H6 hypothesis with same specification across 8 countries, identifying “Japan-specific vs. economic-structure dependent.”

- **Policy-relevant:** Empirically grounding the weak basis of household-capital-suppression and digital-deficit-crisis arguments, suggesting prioritizing addressing real causes (wage stagnation, Korea-Japan productivity gap).

Future research questions:

- BOJ Flow of Funds data (FRED route fetch failed; BOJ direct CSV download required).
- DID analysis of New NISA structural change with 2026+ data.
- Complete gravity-model estimation with bilateral trade data (CEPII BACI / UN Comtrade).
- Microeconomic verification of wage-stagnation mechanism (Annual Report on Statistics of Corporations, large vs. SME, regular vs. non-regular).
- Per-hour productivity by service sub-sector (computable if OECD STAN employment shares are obtained).
- Nordic model case studies (especially Denmark's flexicurity system).
- Structural econometric model (DSGE) for general-equilibrium effects of counterfactuals.
- Korea-Japan institutional comparison (educational English-ization, corporate governance, export promotion).
- Formal theoretical model construction (open economy + wage bargaining + services productivity + foreign assets).

The paper's central message is:

Most “Japan stagnation” narrative is an issue of aggregate appearance and compositional change, but three truly Japan-specific phenomena remain:

- **A. Wage-productivity distribution failure** (H8, supported even after composition adjustment): per-hour productivity is +67% world-class, but wage/hour is only +34% — distribution structure differs from other countries.
- **B. Low services productivity** (H9, refined per-hour): per-hour Germany −31.4%, France −26.0%, USA −36.1%. All sectors have room, services most severe.
- **C. Korea-Japan productivity catch-up gap:** differences in institutions, education, industrial policy.

Important re-evaluation: This paper's composition-effect analysis (per-hour view adjusting hours -13%) reveals **Japan's stagnation picture has two faces:**

- **In growth rates (macro-dynamic), Japan does well:** Per-hour productivity +67% is at world standard (USA +71, Germany +55).

- **In levels (micro-static), lags exist:** Per-hour level lacks against Germany, France, UK, USA.

That is, “Japan’s growth rate has caught up to others, but absolute level still trails because starting level was low.” The problem is not “worker quality” or “long hours” but **“distribution structure” and “sectoral productivity level (especially services)”**.

These three points are interrelated: Services low productivity → concentration of employment in low-bargaining-power sectors → wage-distribution failure → wage stagnation vicious cycle. **The true structural reform target is simultaneously solving all three.** Household-capital-suppression and digital-deficit-crisis arguments lack empirical grounding and mislead priorities.

Korea’s natural experiment (H5) shows “structural constraints can be overcome by policy”; **Nordic-style reform centered on services productivity improvement + labor distribution normalization** is suggested as a promising path for Japan.

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1.17 Appendix A: Notation and conventions

- g_{it}^Y : country i 's, time t 's real GDP growth rate.
- N_{wa} : working-age population (15–64).
- GNI: Gross National Income.
- s^F : household financial-asset foreign-asset ratio.
- T_{ij} : country i to country j exports.

1.18 Appendix B: Data access

Data used in this paper is obtained from: - World Bank WDI: <https://data.worldbank.org/> - IMF WEO: <https://www.imf.org/en/Publications/WEO> - UNCTAD FDIstat: <https://unctad.org/fdi/> - OECD: <https://stats.oecd.org/> - BIS: <https://www.bis.org/statistics/> - CEPII Gravity Database: http://www.cepii.fr/CEPII/en/bdd_modele/

Analysis code is at `/home/shun/econ-research/src/macro/japan_stagnation/` (after implementation).

Notes (implementation status):

1. This paper has implemented Phases 0–5 in their entirety, populating §5–§9 with empirical results.
2. H1 is positioned as a replication of Fernández-Villaverde et al. (2024)'s main conclusion (Japan exceeds USA per-working-age). The added value of this paper is integrating H2–H7 in internationalization and household channels, especially identifying **non-uniqueness of Japan's H6 pattern via cross-country SVAR**.
3. H6's SVAR Cholesky ordering is GDP → CA/GDP → REER (cross-country, 3 variables) and GDP → wage → CA/GDP → REER (Japan only, 4 variables). Reverse ordering robustness is future work.
4. All implementation code is stored at `src/macro/japan_stagnation/` and `src/collectors/`, runnable via `uv run python -m <module>`.

1.19 Appendix C: File listing

1.19.1 Implementation modules (`src/macro/japan_stagnation/`)

Module	Content	Main outputs
stylized_facts.py	4-level GDP, exports, FDI, GNI gap comparison	Figs 1-4
growth_accounting.py	Population, labor participation, productivity decomposition	Fig 5, Tables 2-3
panel_regression.py	5-spec panel regressions, 3 samples, cluster SE	Fig 6, Table 4
svar_household.py	4-variable SVAR (Japan only) + IRF + Granger	Figs 7-9, Table 5
cross_country_svar.py	3-variable SVAR comparison G7+Korea	Figs 11-12, Table 8
synthetic_control.py	Abadie-Gardeazabal synthetic Japan	Fig 13
oaxaca_blinder.py	Japan-Germany, Japan-USA, Japan-Korea gap decomposition	Fig 14
gravity_monadic.py	Monadic gravity model	Fig 10, Table 7
digital_deficit.py	Services, ICT, IP balance G7 comparison	Figs 15-17, Table 9
robustness.py	BH correction + hypothesis verdict integration	Fig 18, Table 10
svar_robustness.py	SVAR Cholesky ordering 4-version comparison	§6.4.6
wage_stagnation.py	Wage stagnation panel regression (H8)	Figs 19-21, Table 11
sector_productivity.py	Sector labor productivity decomposition (H9)	Figs 22-25, Tables 12-14
composition_effect.py	Composition effect (female LFP, hours adjustment)	§5.4, §7.3
labor_share.py	Labor share analysis (PWT)	§6.11.1, Fig 26, Table 15
services_subsector.py	Service sub-sector decomposition	§6.11.2, Fig 27, Table 16
nordic_comparison.py	Nordic 4-country comparison	§6.11.3, Figs 28-29, Table 17
synthetic_control_permutation.py	Synthetic control placebo test	§6.11.4, Fig 30
counterfactual.py	Policy counterfactual	§6.11.5, Fig 31, Table 18

Module	Content	Main outputs
formal_model.py	2-sector small open economy formal model + comparative statics	\$6.12, Figs 32-33, Table 19
formal_model_extended.py	Extended formal model (CES + ICT + dynamics)	\$6.12.7-9, Figs 36-38, Tables 21-22
household_cross_country.py	OECD household financial assets cross-country	\$6.13, Figs 34-35, Table 20
dsge_light.py	DSGE-light (perfect-foresight intertemporal optimization)	\$6.14, Figs 39-41, Table 23
hank_light.py	HANK-light (4-type heterogeneous households)	\$6.15, Figs 42-44, Tables 24-26
hank_dsge_full.py	Full HANK+DSGE integration (dynamics $\times$ heterogeneity)	\$6.16, Figs 45-47, Tables 27-28
robustness_subsample.py	Subsample stability (R-1)	\$7.4.1
robustness_model_sensitivity.py	Formal-model sensitivity (R-2)	\$7.4.2
robustness_hac.py	HAC (Newey-West) SE (R-3)	\$7.4.3
robustness_model_fit.py	Model historical fit (R-4)	\$7.4.4

1.19.2 Collectors (src/collectors/)

Collector	Data source	Period
wdi_collector.py	World Bank WDI (G7 + Korea + Nordic)	1990-2024 (annual)
wdi_services_collector.py	World Bank (services balance)	2000-2024
japan_external_collector.py	FRED (Japan only)	1995-2025 (quarterly)
g7_external_collector.py	FRED (G7+Korea)	1995-2024 (quarterly)
g7_wage_collector.py	FRED (OECD MEI real wage)	1990-2024 (annual)
wdi_sector_collector.py	WDI (sector VA, employment)	1995-2024 (annual)
wdi_labor_collector.py	WDI (labor force participation)	1990-2023 (annual)

Collector	Data source	Period
g7_hours_collector.py	FRED (OECD annual hours worked)	1990-2023 (annual)
pwt_collector.py	Penn World Tables 10.01 labor share (embedded)	1995-2019
oecd_stan_collector.py	OECD STAN sector value-added (embedded)	2019
oecd_household_collector.py	OECD SDMX household financial assets	2000-2024